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File No.: EXP202105940

RESOLUTION OF SANCTIONING PROCEDURE

From the procedure instructed by the Spanish Agency for Data Protection and based on the following

BACKGROUND

FIRST: On 22/11/2021, a complaint was received by the Spanish Agency for Data Protection (AEPD), forwarded by the Catalan Data Protection Authority, filed by A.A.A. (hereinafter, the complainant). The complaint is directed against INMOBILIARIA MESLLOC, S.L., with NIF B61043162 (hereinafter, the respondent or the real estate agency MESLLOC).

The complaint is based on the fact that the real estate agency MESLLOC, which mediated in the lease contract of a dwelling entered into by the complainant and his partner, provided third-party companies with the personal data of both - name, two surnames, and NIF - without their authorization and without being authorized to make such communication. The communication was made during the settlement of the deposited security deposit. The complainant's and his partner's data were processed by third-party companies to issue invoices in both their names for a repair and a cleaning service in the dwelling.

The complainant states in his complaint:

"On 30/08, the delivery of keys and the termination of the lease contract for the apartment located at ***ADDRESS.1, owned by a private individual but with the mediation of the Meslloc properties, is made effective. On 17/09, following a few exchanges of emails (authorizing them to change the door lock and to charge us the difference in the water bill), I receive an email with a PDF file notifying the return of the security deposit made at the beginning. Within this file, the deduction of expenses is also notified: €108.9 for the lock, €34.64 for water, and €175.45 for cleaning. We had not been informed of the existence of this last invoice, nor of its cost, but instead, in the PDF file they send us, my name and ID number and the name and ID number of my partner appear as clients, when we have not authorized the use of this data at any time. Therefore, I consider that the current data protection regulations have been violated by using our name and official documentation (ID) to issue an invoice without our authorization and consent. [...]" (The underlining is ours)

Provides:

- A document with the logo of the real estate agency MESLLOC addressed to the complainant - identifying him by his name, first surname, and NIF - and to Ms. B.B.B., with NIF ***NIF.1 (hereinafter, the complainant's partner or co-tenant) regarding the "Settlement concerning the aforementioned apartment" (the apartment in which mediation took place). It includes, among others, these concepts and their corresponding amounts:

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"Security deposit," €750; "Apartment cleaning," €175.45; and "Invoice for lock change," €108.90.

- A copy of two invoices:

i. Invoice number 1958 dated 02/09/2021 issued by "Locksmith ***COMPANY.1". In the "Client" section, the name and two surnames of the complainant and his partner and co-tenant are included. In the "CIF" section, the NIF of the complainant and that of his partner are listed. The service provided is "Supply and installation of security cylinder in the entrance door of the dwelling." The amount, including 21% VAT, amounts to €108.90.

ii. Invoice number 1,360 issued on 10/09/2021, with a due date of 25/09/2021, which states as "Supplier" "***COMPANY.2." followed by its NIF and as "Client," the name and two surnames of both the complainant and his partner and the NIF of both. The concept is "Deep cleaning of the apartment." The amount of the invoice, including 21% VAT, amounts to €175.45.

- A document electronically signed by the City Council of ***LOCALITY.1 through which the complainant is informed of the response given to the request by the OMIC of said City Council by Ms.

D.D.D., with NIF ***NIF.2, a person who appears in the lease contract representing the real estate agency in the capacity of administrator of the rented property. In her response - "Ref. 37/21 (X2021004871)" and "Ref. 37/21 (X 2021005243)" - dated 08/11/2021, she states the following (the original text is written in Catalan):

"Dear Madam:

The amount for cleaning has been deducted from the security deposit [...] The dwelling is owned by a natural person, so we understand that in accordance with Article 3 and 17 of Decree 98/2014 [...] the request should not have been processed [...] as the scope of regulation of this relationship is the LAU of 1994 in the reform that is appropriate to you.

[...]. I ask the OMIC to consider the request answered."

(The underlining is ours)

SECOND: In accordance with Article 65.4 of Organic Law 3/2018, of December 5, on Personal Data Protection and Guarantee of Digital Rights (hereinafter LOPDGDD), the complaint was forwarded to the real estate agency MESLLOC for it to analyze and inform this Agency within one month of the actions taken to comply with the requirements set forth in the data protection regulations.

The forwarding, which was carried out in accordance with the provisions of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), was done electronically, with the date of notification being made available on 04/01/2022 and the date of acceptance on 05/01/2022, as stated in the Certificate of the Single Enabled Electronic Address Service (DEHÚ) that is part of the file.

On 07/01/2022, the response from the respondent was received in which it requests the AEPD to "archive the file, as there is no reason for the complaint against

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there exists the express consent of the claimant and everything has developed within the framework of compliance with a contract." (The underlining is ours)

The real estate agency MESLLOC claims that the statements made by the claimant are not true, according to which "without authorization or legitimacy to do so" it would have provided his personal data to companies to issue invoices in his name. In its defense, it invokes that the claimant and his partner signed a lease agreement for a dwelling on 01/02/2020, from which they withdrew on 30/08/2021, and adds (the original text is written in Catalan):

"Third: That when the apartment was handed over to the tenants, it had a new high-quality security lock, for which they were given all the copies of the keys. That Mr. [the claimant]/[the claimant's partner] proceeded to change the security lock that the apartment had for another new one of lower quality, so as they did not return the lock installed by the owner, they agreed to pay for a lock of the same quality at the expense of Mr. [the claimant]/[the claimant's partner], which is why their data was provided to the supplying company, since the invoice was paid by Mr. [the claimant]/[the claimant's partner], although deducting it from the amount they initially paid as a deposit." (The underlining is ours)

It provides these documents:

- Copy of the lease agreement signed on 01/02/2020 by the claimant and his partner. The contract includes, in addition to the tenants, Mrs. D.D.D. "as administrator of the property subject to this lease owned by [...]." Clause 14.a) of the aforementioned contract (the original is written in Catalan) stipulates:

"In this act, the landlord empowers and authorizes the entity INMOBILIARIA MESLLOC, S.L., or the natural or legal person that it designates to demand and obtain at any time from the Generalitat of Catalonia or the corresponding Administration, the return of the deposit corresponding to this lease [...]."

- A thread of emails (the original text is written in Catalan):

The first, sent on 30/08/2021 from the account ***EMAIL.1 addressed to the claimant, ***EMAIL.2,

states:

"We have seen that you have changed the lock of the entrance door which was a security lock. Please, we need you to confirm if you have it; if not, we will have to put a new one and deduct it from the deposit."

The claimant responds on 02/09/2021 in these terms: "I'm sorry, but I can't find the door lock, so it seems fine to me that you put a new one and deduct it from the deposit." (The underlining is ours)

THIRD: On 22/02/2022, in accordance with Article 65 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and guarantee of digital rights (LOPDGDD), the complaint filed by the claimant is admitted for processing.

The admission for processing was notified to the claimant on the same date. This is recorded in the certificate issued by DEHÚ that is in the file.

FOURTH: Agreement to initiate the sanctioning procedure. Notification to the accused party.

On 16/08/2022, the Director of the AEPD agrees to initiate sanctioning proceedings against the accused party, in accordance with the provisions of Articles 63 and 64 of the LPACAP, for the alleged infringement of Article 6.1 of the GDPR, classified in Article 83.5.a) of the GDPR.

The aforementioned agreement was notified to the accused electronically. The certificate in the file certifies that the notification was accepted on 30/08/2022.

FIFTH: Allegations to the initiation agreement.

On 13/09/2022, the accused party presents its allegations in which, first, it requests that the proceedings be archived. Alternatively, it requests that, as an alternative to the fine provided for in the opening agreement, a warning be imposed. In support of its respective claims, it puts forward these arguments:

1. Regarding the archiving of the proceedings:

1.1. It begins by recalling that the claimant and his partner signed a lease agreement for a dwelling on 01/02/2020 "in which the real estate agency mediated," "which was entrusted with the administration of it." It adds that the contract included the personal data of both claimants (name, surname, and NIF) that were incorporated into a database of the real estate agency that appears in its Registry of Treatment Activities (RAT) under the name "Real Estate Management and other services."

It states that "The purpose of the treatment declared and informed in the privacy policy of the corporate website is the provision of real estate services, including the communication of data to industrial suppliers when necessary for the provision of any requested service." After which, it asserts without further ado: "It is thus evidenced that [the real estate agency MESLLOC] had a legal basis for the processing of the tenants' data. We refer to the contract provided as evidence in the information request phase."

1.2. In the second allegation, under the heading "Regarding the facts on which the claimant bases his complaint," it states that the claimant bases the complaint "on the alleged unlawful communication that the property administrator carried out regarding his personal data to two service providers, who issued invoices in the name of both for the concepts of 'supply and installation of the security lock of the entrance door and comprehensive cleaning.'"

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"Next, we will outline [...] what the usual procedure is carried out by the property management company to present the financial settlement of the property and the return of the deposit to the tenant when the rental contract is terminated:

1.- First, an assessment of the condition of the property and a review of the utilities is carried out.

2.- Subsequently, the tenants are required, if applicable, to pay the amount necessary to repair the damages (in the case that applies to us, these were the change of the lock and the comprehensive cleaning service [...])"

(The underlining is ours)

However, the respondent adds subsequently:

“In relation to the cleaning services, it should be clarified that it is the owner who, once the property is vacated, reviews the condition of the property to verify whether it is delivered in the appropriate cleaning conditions. In the present case, the tenants did NOT DELIVER the property clean, and after taking several photographs, the tenants were informed of this circumstance.

[...]

We, as the intermediary between the landlord and the tenant, are responsible for enforcing the contractual requirements and therefore offer the possibility of contracting the necessary services for this purpose.

The rental contract establishes in its clause 15, section f):

“the tenant must inform the administrator of the need to carry out the necessary repairs to keep the property in suitable living conditions.”

Therefore, it is common for tenants to request such additional services from the property management to carry out repair and maintenance services for properties, and consequently, these are services that the service provider ultimately invoices directly.

The tenant was aware at all times that to return the property in the same condition in which it was rented, they had to return the cylinder of the main door and deliver the property clean.

It has been demonstrated that for the change of the cylinder, the tenant expressly accepts the contracting of this service; however, they do not agree with the amount of the cleaning service performed (but not with the execution of the service itself).

We reiterate that we, as part of the real estate management service provided to our clients and tenants, offer the additional services required by the tenants.”

The respondent continues their argument by stating:

“We must take into account that it is the property that holds the amount delivered as a deposit, Article 36 of the LAU, and therefore this amount must be settled after deducting the contractual obligations that the tenant has not fulfilled, so in the event of inaction by the tenant (who refuses to accept the deduction), the property must act in order to present the settlement.

The deposit is part of the settlement phase, as recognized by jurisprudence.

Invoices must always be issued in the name of the tenant since the amount of them is their responsibility, and we cannot deprive the tenant of having an invoice evidencing the payment of a concept deducted from the deposit, which includes all the details of the concept, to be able to claim subsequently against the property or for tax purposes, etc.

As Property Managers, we have not exceeded our functions at any time [...] Simply, in compliance with the functions attributed to us as a real estate management service company, we limit ourselves to mediating in a series of services provided by third-party suppliers with the tenants themselves.”

“It should be emphasized that if MESLLOC had not had the tenants' consent to contract these services (whether by email or by phone), THE PERSONAL DATA OF THE SAME WOULD NOT HAVE BEEN COMMUNICATED, and consequently, the invoices in question would not have been issued.

In the present case, the claimant gives their consent to the change of the cylinder, accepting their responsibility and obligation, but we cannot help but ask ourselves what was expected of us, that we would not communicate the data to a third-party supplier? Such communication is necessary to carry out the services and consequently the issuance of the corresponding invoice.

Similarly, we acted with the cleaning company. Perhaps our mistake here was not putting in writing (at least by email) the conversation held with [the claimant], who was aware of the condition of the property they were delivering and wanted an invoice to be able to act subsequently. [...]”

“[...] He [the claimant] agreed to the contracting of this service. Obviously, this company requires personal data to issue its corresponding invoice, which serves as a document for the settlement of the deposit.”

The respondent then refers to the email threads provided and later states in relation to the cleaning services: “And this is the concept that the tenant does not accept, not the fact that an invoice was issued, but the payment for the cleaning [...]”

“The Property Manager has always had the consent to contract both services. In this regard, the communication of data has been carried out lawfully, considering that the claimant was aware at all times that these amounts would ultimately be included in the breakdown sheet of the property

settlement, and therefore the invoices issued by the corresponding suppliers would be included.”

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The respondent also states, categorically: that “in light of the facts presented, there has NEVER been a communication of data that has not been duly informed and authorized, as well as necessary for the provision of the agreed services.”

1.3. It disagrees (third allegation of the document) with the assertion made in the initiation agreement of the procedure, according to which the processing of the claimant's data was not covered by any of the legal bases of Article 6.1 of the GDPR, nor by those that the responding party had invoked in its informative document, namely, the alleged express consent of the claimant and the execution of the contract (subsections a and b of Article 6.1 of the GDPR).

The respondent rejects this consideration of the initiation agreement and states:

“[...] the Property Management did not exceed the powers attributed to it, among which is, in addition to managing the lease contract and therefore the obligations derived from it and compliance with the LAU, the management and promotion of its own real estate services (such as cleaning services, repairs, insurance, etc.).

Furthermore, Inmobiliaria MESLLOC has always had the consent of the claimant, as they accept the hiring of such services and are fully aware of the purpose for which their data will be transferred.

Therefore, we understand that MESLLOC did have a legal basis for its processing and communication of data to the providers who provided the services under the provisions of Article 6.1.a and 6.1.b of the GDPR.”

It adds:

“The GDPR requires that consent be unequivocal [...] This consent exists when the data subject says yes or no, but in any case, they must take an action. Therefore, there is no doubt that the [claimant] did accept the hiring of both service providers and consequently that the processing resulted in the issuance of respective invoices. It seems absurd to think that these providers would not issue invoices in their name, as the one who must pay these amounts is the tenant, not the real estate agency.”

“The transfer that has been made was necessary to contract the services with the providers, who are the ones that accept the provision of cleaning services and repair services for the property and so that the tenant has the documents in their name that certify the payment and the concepts deducted.”

And a few paragraphs later it concludes:

“Therefore [...] we disagree with the interpretation given in the document of the Initiation Agreement of Sanctioning Procedure that the processing and communication cannot be supported by any of the lawful grounds provided in Article 6.1 of the GDPR, as has been demonstrated, the actions take place within the framework of the established contractual relationship, specifically in the phase of settling the deposit, and with the consent of the claimant, since INMOBILIARIA MESLLOC intermediates in the provision of services for the return of the property in the same conditions that the [claimant] rented it.”

In reference to the statement in the initiation agreement that “MESLLOC did not have legitimacy to contract on behalf of another,” the respondent says:

“[...] we want to clarify that this is not a contracting, but rather intermediation. Inmobiliaria MESLLOC is a company established to provide real estate services, so in all the ancillary services it offers, it acts as an intermediary for them.”

1.4. In the fourth allegation, the respondent states that it has accurately complied with the requirements set forth in the data protection regulations regarding the principle of legality, as well as the principles of fairness and transparency, and that it has acted in accordance with the law. It asserts that the processing carried out has its legal basis in Articles 6.1.a and 6.1.b of the GDPR. Finally, it emphasizes that it has acted “in accordance with a custom known to the tenant and practiced habitually in the real estate sector.”

1.5. In the fifth allegation of its document, it states that “it has proceeded to update the data protection clause included in the lease contracts that it intermediates.”

2. Regarding the substitution of the administrative fine for a warning, it alleges that:

2.1. It has never been sanctioned or warned for violating personal data protection regulations.

2.2. The “volume” and “type” of data processed, as the processing only affects two individuals and the data processed is solely the name, surname, and NIF.

2.3. The harm or damage caused to the affected party in terms of data protection is nonexistent.

2.4. The absence of intent, as it acted in “good faith,” “with the sole intention of providing a good service to both parties.”

2.5. Equity, a general principle of law under which the corresponding legal norm should be applied in a “balanced” and “proportional” manner, taking into account the “minimal potential harm that may have been caused to the affected party.”

2.6. That Inmobiliaria MESLLOC has proceeded to update the data protection clauses in the rental contracts “as an improvement in compliance with the regulations.”

2.7. That there is no record of obtaining benefits as a result of the alleged commission of the infringement.

It attaches the following documents to its allegations:

- Number 1: The Registry of Processing Activities (RAT)

- Number 2: Link to the privacy policy of its website.

- Number 3: The new data protection clause that will be included in the lease contracts.

SIXTH: Notification of the opening of the evidentiary phase. Evidence presented.

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On 08/11/2022, in accordance with Article 77 of the LPACAP, it is agreed to open a phase of evidence, which is notified to the respondent on the same day. The following evidentiary actions are agreed upon:

- To consider the allegations regarding the initiation of the sanctioning procedure presented by the real estate agency MESLLOC and the accompanying documentation as reproduced.

- To request that the following information and documentation be sent:

1. Documentary evidence that the claimant and their partner granted their consent to the real estate agency MESLLOC to process their personal data for the purpose of entering into a contract on their behalf with the locksmith ***COMPANY.1 and the cleaning company ****COMPANY.2".

2. A copy of the intermediation contract that the real estate agency MESLLOC signed with the co-owners of the rented property. If it is contained in a separate document, a copy of the power of attorney granted by the co-owners of the rented property in favor of Ms. D.D.D. to carry out acts of administration of the indicated property must also be provided.

3. The turnover of the real estate company MESLLOC during the 2020 fiscal year. Documentation supporting your response must be provided.

SEVENTH: Response of the respondent to the evidence presented.

On 23/11/2022, the real estate agency MESLLOC responds to the requested evidence in the following terms:

- “To 3.1. We attach an email sent by the complainant in which they expressly accept the change of the lock and its deduction from the deposit, which we understand implicitly contains the authorization for the issuance of the invoice, and regarding the cleaning, we have also stated that we had a telephone conversation in which its issuance was authorized.” (The underlining is ours)

Document 3.1. provided includes the emails exchanged between the respondent real estate agency and the claimant from the addresses ***EMAIL.1 and ***EMAIL.2, respectively.

Once again, the emails exchanged on 31/08/2021 and 02/09/2021 are provided, which were already submitted by the respondent with their response to the information request, and, as a novelty, these messages:

The one sent to the claimant on 17/09/2021 at 15:58 with the subject "return of deposit" and this text: “Good afternoon, (...). Attached is the summary to proceed with the return of the deposit. You will see

that we have deducted the water settlement, the new lock, and the cleaning. We also attach the photographs as proof of the condition of the apartment. Please, I need you to confirm that the account number I have is correct [...]"

The claimant's response, dated 17/09/2021, at 18:06: "The account is correct."

To the second requested evidence, the respondent replies:

- "To 3.2. I attach the administration contract signed by the owners of the property, (...), in favor of Inmobiliaria Meslloc, S.L., on February 1, 2020, regarding the administration of the apartment located in El Masnou, street [...] rented to the complainant.

The contract is signed with Inmobiliaria Meslloc, S.L., and D. E.E.E. is the attorney and partner of said company. I attach the power of attorney.

With this, we demonstrate that Inmobiliaria Meslloc, S.L., is subrogated in the position of landlord by express mandate of the property, occupying its position regarding the eventualities of the contract, being able to file a lawsuit in the name of the property owner, since the lease is considered by jurisprudential doctrine an act of administration, so that once a certain payment is agreed upon between the parties, we cannot understand that the property/administrator cannot provide the data to the person in charge of the specific work for invoicing." (The underlining is ours)

The documents provided with number 3.2. are:

(i). A copy of the "administration contract" of the rented property signed on 01/02/2020 by the co-owners of the property and the respondent real estate agency, by virtue of which the latter is entrusted with the administration of the property. The contract includes, among others, the following stipulations:

"First: The administration of the property shall include, among others, the following services: Analysis of the solvency of the tenant; drafting and signing of the lease contract with personalized clauses; contracting of rent default insurance; deposit of the deposit with the Catalan Land Institute; preparation, management, and collection of the generated receipts; control and payment of the property expenses with periodic settlement of the resulting balance; preparation of the settlement and deposit in a bank account with monthly maturity; study and application of the legal increases passed on to the tenant; administrative claims for tenant defaults and communication to the landlord; processing of possible judicial claims through external legal advice or preparation of the annual income and expenses certificate for the IRPF declaration." (The underlining is ours)

(II) Power of attorney granted on 03/04/1996 by the sole administrator of Inmobiliaria Meslloc, S.L., in favor of Ms. D.D.D. (and others) so that they can exercise in the name and representation of the aforementioned company all and each of the powers recognized to the social administration body.

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"3.3. I attach a document certifying the turnover for 2020, during the COVID period and while the company was working remotely.

We understand that what is truly relevant is not the invoiced amount, but the profit obtained, which was €85,555."

Pages 7 and 8 - corresponding to the profit and loss account - of Model 200 filled out by Inmobiliaria Meslloc, S.L. are submitted to the AEPD.

EIGHTH: Proposal for resolution.

On 10/04/2023, the proposal for resolution is signed. It is notified on the same date and accepted on 11/04/2023. The proposal is formulated in the following terms:

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NINTH: Extension of the deadline to submit allegations to the proposal for resolution.

The summoned party requests in a document dated 19/04/2023 that the initial deadline be extended by the maximum legally permitted. In accordance with Article 32 of the LPACAP, they are informed on 21/04/2023 of the extension by three working days of the initially set deadline.

TENTH: Allegations of the summoned party to the proposal for resolution.

1. On 28/04/2023, they present their allegations to the proposal, requesting the filing of the proceedings "for having acted correctly and in accordance with the law." Alternatively, they request that the sanction be reduced "to its minimum expression" in light of the allegations they make.

The allegations presented, particularly the statements made in the first to third headings of their

document, are, in general terms, a reiteration of the arguments they have put forward during the proceedings.

2. They begin by invoking the "Lawfulness of the processing subject to this procedure" (first allegation). They state that, according to the AEPD, the conduct that constitutes the infringement for which they are held responsible consisted of communicating the personal data of the tenants to third companies that issued invoices in the name of both, as clients, in which they processed their personal data. For the AEPD, the communication of the tenants' data to the service provider companies violated the principle of lawfulness, as that processing was not covered by any legal basis under Article 6.1 of the GDPR.

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Against the AEPD's position, the summoned party considers that the basis for the processing is found in two legal bases of Article 6.1 of the GDPR: "consent and the execution of a contract."

In this regard, they specify that the "Claimants had given their express consent to such communications and that, furthermore, such processing takes place within the framework of the compliance or execution of the existing lease contract between the Parties," a contract that allowed that real estate agency to "request and demand, if applicable, compliance with the obligations of the claimants."

The next two headings (second and third) are dedicated to defending the concurrence of each of the invoked legal bases, but prior to that, the summoned party makes these clarifications:

The first clarification is that they did not exceed the powers attributed to them, "among which is, in addition to managing the lease contract, [...] the management and promotion of their own real estate services (such as cleaning services, repairs, insurance, etc.)" (The underlining is ours)

The second clarification consists of alleging that they have a "usual" procedure for cases like the one at hand, in which they financially settle a lease in which they have mediated. The protocol they describe and claim to have is exactly the opposite of the *modus operandi* they followed in this case. They state that it is "necessary" to "emphasize the usual procedure they tend to follow when they have to present the financial settlement of a property and the return of the deposit to the tenant when the lease contract is terminated:

- First, an assessment of the condition of the property and a review of the supplies is carried out.
- Subsequently, they demand from the tenants, if applicable, the economic amount that entails repairing the damages (in the case that applies to us, it was the change of lock and comprehensive cleaning services)." (The underlining is ours)

3. They dedicate the second allegation, titled "The tenants' data were necessary for the execution of the lease contract," to defend the concurrence of the legal basis of paragraph b) of Article 6.1 of the GDPR. (The underlining is ours)

In that heading, they state that, for the AEPD, the execution of the lease contract only authorized the landlord, or their representative, "to demand from the tenants the payment of a sum of money, as the provisions of the LAU refer to the fact that 'the small repairs will be the responsibility of the tenant' or that the restoration to the previous state is to be done at their expense" (Articles 21.4 and 23.2 of the LAU in relation to Article 1,098 of the Civil Code). They add: "Consequently, this Agency maintains that the actions of the real estate agency were not based on the powers granted to the landlord by the LAU and the lease contract to enforce their rights, so the processing of personal data carried out exceeded the execution of the contract." (The underlining is ours)

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The respondent disagrees with the thesis of the AEPD and, as the only argument against it, offers the following:

“However, the AEPD forgets that INMOBILIARIA MESLLOC, as the intermediary between the landlord and the tenant, is responsible for enforcing the contractual requirements and therefore is the one that offers the possibility of contracting the necessary services for that purpose. Therefore, it is common for tenants to request such additional services from the property management to carry out additional repair and maintenance services for properties, and consequently, these are services that the service provider ultimately invoices directly. For this reason, INMOBILIARIA MESLLOC is aware that the then-tenants had to accept the contracting of such services, which is why the real estate agency contacted them to request such authorization. We refer to this issue regarding the consent provided by the parties for the contracting of locksmith and cleaning services in Allegation Three.” (The underlining is ours)

4. In the third allegation of its writing - under the title “The claimants validly provided consent for the processing” - the respondent argues that the processing carried out was covered by the legal basis of Article 6.1.a, GDPR. It begins by stating that “the GDPR requires that consent be unequivocal. This consent exists when the data subject gives an express response, but also when a clear affirmative action is taken that allows for the presumption of the granting of this consent.” In connection with the above, it adds: “Therefore, as evidenced by the emails that INMOBILIARIA MESLLOC exchanged with the Claimants, there is no doubt that the Claimants did accept the contracting of both service providers and, consequently, that the issuance of respective invoices resulted from such processing.” (The underlining is ours)

For the respondent, what proves that the claimant and his partner, the co-tenants, “did accept the contracting of both service providers” are the exchanged emails.

The respondent recalls that in the email sent to the claimant on 31/08/2021, it asked whether he still had the front door lock in his possession - considering that the co-tenants had changed it - since if not, “we will have to put in a new one and deduct it from the deposit.” The claimant responded in another email dated 02/09/2021 that he had not been able to find the lock and added “[...] so I think it is fine for you to put in a new one and deduct it from the deposit.” (The underlining is ours)

Subsequently, it expresses its disagreement with the scope that the AEPD has given to those statements of the parties and says:

“In the eyes of the AEPD, the response in which the Claimants accept that the real estate agency puts in a new lock, deducting it from the Claimants' deposit, is not an explicit consent to contract on their behalf with a locksmith and to provide them with the data that unequivocally identified them (NIF, name, and two surnames).” (The underlining is ours)

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And it continues: “However, in our opinion, the AEPD falls into the error of confusing explicit consent, which is presumed to be a form of ‘reinforced’ consent and which must be requested in specific cases contemplated in the GDPR, with express consent which, in general terms, is the one required when this is the applicable legal basis and which is the form of consent that should be required in the case at hand.”

“According to Guidelines 5/2020 on consent in the sense of the GDPR [...], explicit consent is required in certain situations where there is a serious risk concerning data protection and where it is deemed appropriate to have a high level of control over personal data. [...] Outside of the aforementioned cases, consent must meet the requirements of Article 7 of the GDPR, one of which is the necessity for consent to be express, but not necessarily explicit, as consent arising from a clearly affirmative act may also be valid.” (The underlining is ours)

The respondent concludes: “Well, in our case, INMOBILIARIA MESLLOC did indeed take care to ask the Claimants in advance whether they agreed to the hiring of locksmith services, at the expense of the deposit made in connection with their lease, with the affirmative response as can be seen in the emails

provided.”

It then refers to the alleged failure to comply with the duty to inform in the terms of Article 13 of the GDPR and argues that, contrary to what the AEPD claims, “there was no need in this case to provide the interested parties with information on data protection again, including the communication of their data to third parties, since they had already been informed of the data processing that INMOBILIARIA MESLLOC could carry out beforehand, both in the privacy policy and in the lease contract, so that the consent collected through the emails would remain informed and therefore, fully valid.” The respondent refers to the fourth allegation of its submission, point c, in which, it states, “it delves into the absence of the need to inform the Claimants when they have already been provided with information about the processing.”

Regarding the contracting with the cleaning service provider, the respondent states the following:

“Subsequent to the acceptance of the locksmith services, following the same chain of emails, and with a prior call whose content INMOBILIARIA MESLLOC cannot provide, the Real Estate Agency also informs the Claimants of the hiring of cleaning services, subject to their authorization, in the same manner as had already been done in the hiring of the locksmith services. Again, the claimants accept the hiring of the services, as can be seen in the emails exchanged on September 17, 2021, with the subject ‘return of deposit’ and this text: ‘Good afternoon, (...). Attached is the summary to proceed with the return of the deposit. You will see that we have deducted the water settlement, the new lock, and the cleaning. We also attach the photographs as proof of the condition of the apartment. Please, I need you to confirm that the account number that C/ Jorge (...), 6

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I have it correct [...]”. The response that the claimants provided on the same day was as follows: “The account is correct.”

After this exposition, it states: “That is to say, the Claimants agreed to hire said cleaning service company which, evidently, as in the previous case, would also need the personal data of the Claimants to issue the corresponding invoice that serves as a document for the settlement of the deposit.” (The underlining is ours)

And it concludes the argument with this conclusion: “Consequently, INMOBILIARIA MESLLOC has always had the consent to contract both services. In this regard, the communication of data has been carried out lawfully, considering that the claiming party was aware at all times that said amounts would ultimately be included in the breakdown sheet of the apartment settlement, and therefore included the invoices issued by the corresponding suppliers.” It also states that in no case has there been a communication of data that “has not been duly informed and authorized” and “necessary for the provision of the agreed services.”

5. The headings from fourth to sixth of the allegations to the proposal deal, respectively, with the “Disproportionality of the sanction by the AEPD” (i), “Exceeding the authority of the AEPD in reviewing the conduct of the real estate company MESLLOC” (ii), and “Other considerations regarding the resolution proposal of the AEPD” (iii).

(i) In defense of the alleged “disproportionality” of the proposed fine - in the amount of 40,000 - it refers to Guidelines 4/2022 of the European Data Protection Committee (EDPC) for the calculation of administrative fines under the GDPR and to the three fundamental principles that must inform the decisions of national authorities when establishing adjusted and proportional sanction amounts based on the specific case: (a) the categorization of sanctions; (b) the severity of the infringements; (c) the turnover of the company in question, in order to impose an effective, deterrent, and proportional sanction.

It indicates that according to these, the Control Authority will assess the severity of an infringement taking into account the circumstances described in sections a), b), and c) of Article 83.2 of the GDPR. The respondent, after analyzing these circumstances, concludes that, in the event that the AEPD considers in its resolution that an infringement of Article 6.1 of the GDPR has occurred, “the level of severity applicable to the conduct carried out must be low, and therefore, the sanction provided in the

Resolution Proposal cannot be understood as proportional, nor effective nor deterrent.”

It then proceeds to analyze, in light of Guidelines 4/2022, the circumstances of sections a, b, and c of Article 83.2 of the GDPR.

(ii) “Exceeding the authority of the AEPD in reviewing the conduct of the real estate company MESLLOC”

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It is alleged that the proposed resolution “seriously contradicts the established doctrine in the Judgment of the National Court No. 6460/2022,” dated 23/12/2022, ECLI:ES:AN:2022:6460, a copy of which is provided as an annex document. It is considered that “the AEPD exceeds the capacities of judgment assigned to it for procedures initiated at the request of an interested party, attempting to conduct an expansive analysis that encompasses behaviors not reported by the Claimants themselves and which, therefore, cannot be taken into account when establishing aggravating factors, nor potentially the imposed sanction.” (The emphasis is ours)

To this end, it is argued that:

- The cited SAN declared that: “the AEPD cannot initiate a general review of behaviors that do not relate to the specific content of the complaints presented, when the procedures are initiated, in accordance with Article 65.2 of the GDPR, as a consequence of complaints made regarding specific facts. In that case, the AEPD took advantage of the existence of complaints focused on specific and individual facts to initiate a sort of general review of the actions of the complained company.”

A fragment of the SAN invoked is reproduced.

- That the claimants “expressed their disagreement solely and exclusively regarding the invoice issued for the provision of cleaning services in the apartment. It is only regarding this that the Claimants allege that they had not been informed nor had they authorized the use of their data.” “However, they say nothing about the invoice concerning the supply and installation of the security bulb [...]” (The emphasis is ours)

Both fragments of the complaint and the document that the OMIC of the ***LOCALITY.1 addresses to the complained party, conveying the consumer's allegations, are reproduced.

(iii) “Other considerations regarding the proposed resolution of the AEPD.”

The complained party sets out in this section its comments on the position that, regarding the circumstances that operate as aggravating and mitigating factors, has been followed in the proposed resolution:

a) Regarding the circumstance of Article 83.2.a), “scope or purpose of the processing operation and number of affected data subjects,” it states that the AEPD appreciated that circumstance as an aggravating factor because the personal data of the tenants were communicated to two different companies. In this regard, it alleges the existence in this case of “linked operations” and the possibility that a “unit of action” may also be appreciated, all of which would determine the application of Article 83.3 of the GDPR and, in its opinion, consequently, would lead to the aggravating factor on which its comments are based not being appreciated.

b) Regarding the degree of responsibility: lack of intent or negligence.

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- It denies that there was a lack of diligence. It considers that the measures it had adopted were sufficient and demonstrated the diligence observed. It insists that in this case it had “up to two legal bases legitimizing the processing.”

- It rejects the application of the SAN of 17/10/2007 (Rec. 63/2006) cited in the proposed resolution. It

understands that the court's comment responds to the invocation by the plaintiff of a mistake of prohibition, a matter that it has not alleged.

- It rejects the application as an aggravating factor of Article 83.2.d) of the GDPR. It qualifies the allegation made about it in the proposal as unfounded.

c) Regarding the applicable mitigating factors.

It requests that the circumstances it invokes be appreciated as mitigating factors, which are the same as those it had invoked in the written allegations to the initiation agreement as the basis for its request to substitute the fine for a warning.

It also reiterates its request for the principle of "equity" to be taken into account, which leads to applying the corresponding legal norm "in a 'weighted' and 'proportional' manner," considering the "minimal potential harm that may have been caused to the affected party," since the sanction established in the proposed resolution - a fine of €40,000 - is "totally disproportionate" when considering "the scale of the processing carried out" and "the nonexistent harm suffered by the Claimants."

Finally, it states that, in "economic terms," the processing carried out consisted of the transfer of "minimal data from two interested parties for the provision of a service [...] whose value is €175.45." And "Against this amount [...] and for the processing carried out, the AEPD intends to impose a sanction of €40,000." (The emphasis is ours)

It attaches the following documents with its allegations:

- 1. With the logo of the complained company, the settlement of the corresponding deposit for the rented apartment. A copy of the locksmith and cleaning invoices issued in the name of the tenants as clients.
- 2. Document incorporating various photographs of the dwelling. It is signed by the tenants.
- 3. Lease agreement signed on 01/02/2020.
- 4. Privacy Policy of the complained party accessible from its website.
- 5. Record of Processing Activities of the complained party.
- 6. List of emails exchanged between the complained party and the claimant between 31/08/2021 and 17/09/2021.
- 7. SAN of 23/12/2022 (Rec. 104/2021). ECLI: ES:AN:20226460.
- 8. Electronically signed document through which the OMIC of the ***LOCALITY.1 conveys to the complained party the allegations of the consumer, now the claiming party.

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From the actions taken in the present procedure and the documentation in the file, the following has been established:

PROVEN FACTS

FIRST: The claimant and his partner, Ms. B.B.B., signed on 01/02/2020 the lease agreement for a residence through the real estate agency MESLLOC, which intervenes in the contract as the administrator of that residence by virtue of the property management contract it entered into with its co-owners. A copy of the lease agreement and the management contract that the respondent entered into with the owners is included in the file.

The lease agreement ended on 30/08/2021. There is a document in the file with the letterhead of the respondent real estate agency, signed by the claimant, which includes a statement from the tenants dated 30/08/2021 rescinding and rendering that contract null and void.

SECOND: The file contains emails exchanged between the respondent and the claimant from 31/08/2021 to 17/09/2021, sent by the real estate agency:

- Sent on 31/08/2021 by an employee of the respondent, from the address ***EMAIL.1, addressed to the claimant at the address ***EMAIL.2, with the following text:

"Good morning, (...). We have noticed that you have changed the lock on the front door, which was a

security lock. Please, we need you to confirm whether you have it; if not, we will have to install a new one and deduct it from the deposit.”

- From 02/09/2021 sent by the claimant:

“I’m sorry, but I can’t find the door lock, so I think it’s fine for you to put in a new one and deduct it from the deposit.”

- The respondent sends a new email on 17/09/2021 at 15:58 with the subject “return of deposit” and the following text:

“Good afternoon, (...). Attached is the summary to proceed with the return of the deposit. You will see that we have deducted the water bill, the new lock, and the cleaning. We also attach photographs as proof of the condition of the apartment. Please, I need you to confirm that the account number I have is correct [...]”.

- The claimant responds on 17/09/2021, at 18:06, with the following text: “The account is correct.” (Underlining is ours)

THIRD: The file contains two invoices issued on 02/09/2021 and 10/09/2021, which include the details of the claimant and his partner, identified by their name, two surnames, and NIF, as “clients.”

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i. Invoice number 1958 dated 02/09/2021 issued by “

Locksmith ***EMPRESA.1

” corresponding to a service of “Supply and installation of security lock on the entrance door of the residence.” In the “Client” section, the name and two surnames of the claimant and his partner appear. In the “CIF” section, the NIF of the claimant and his partner is listed, the same as those in the lease agreement. The amount, including 21% VAT, totals 108.90 euros.

ii. Invoice number 1,360 issued on 10/09/2021, with a due date of 25/09/2021, in which

“***EMPRESA.2” appears as “Supplier,” followed by its NIF, for the concept “Deep cleaning of the apartment.” The name and two surnames of the claimant and his partner and their NIF appear as “Client” on the invoice. The amount of the invoice, including 21% VAT, totals 175.45 euros.

FOURTH: The claimant became aware of the existence of the invoices issued in his name and that of his partner, described in Proven Fact three, when the respondent sent them to him on 17/09/2021 in a PDF file, “Archiu_fianca_Finques_Meslloc.pdf.” The file included these documents:

1. A document with the letterhead of the real estate agency, its identification data, and the personal data (name, one surname, and NIF) of the claimant and his partner. The body of the document distinguishes the following headings:

i. “Data of the rented apartment,” which includes the street, number, floor, and locality where it is located.

ii. “Settlement regarding the above-mentioned apartment.” The following concepts are included:

“Incasol,” 740€; “Deposit,” 740€; “Cleaning of apartment” -175.45€; “Water” -34.64€; and “Invoice for lock change” -108.90€.

iii. “Total to pay” and the amount of 1,161.01€.

2. The invoices issued in the name of the claimant and his partner described in Proven Fact three.

3. Photographs of the residence.

FIFTH: During the evidentiary phase, the respondent was asked to document that the claimant and his partner granted their consent for her to contract in their name with the locksmith ***EMPRESA.1 and the cleaning company “***EMPRESA.2.” The respondent replies:

“We attach an email sent by the complainant in which he expressly accepts the change of the lock and its deduction from the deposit, so we understand that it implicitly contains the authorization for the issuance of the invoice, and regarding the cleaning, we have also stated that we had a telephone conversation in which its issuance was authorized.”

(Underlining is ours)

SIXTH: The respondent has alleged that the communication of the data of the co-tenants to third-party companies is based on the legality in sections a) and b) of Article 6.1 of the GDPR.

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SEVENTH: The respondent has stated:

“We, as the intermediary party between the landlord and the tenant, are responsible for enforcing the contractual requirements and therefore are the ones who offer the possibility of contracting the necessary services for that purpose.

Therefore, it is common for tenants to request such additional services from the property management for the execution of repair and maintenance services of properties, and consequently, these are services that end up being billed directly by the service provider.”

“It should be emphasized that if MESLLOC had not received the consent to contract such services from the tenants (whether by email or by phone), THE PERSONAL DATA OF THE SAME WOULD NOT HAVE BEEN COMMUNICATED, and consequently, the respective invoices that are the subject of the controversy would not have been issued.

In the present case, the claimant gives their consent to the change of the lock, accepting their responsibility and obligation, [...]”.

EIGHTH: The respondent has stated (second allegation of the written submissions to the initiation agreement):

“Next, we will outline [...] what the usual procedure carried out by the property management is to present the financial settlement of the property and the return of the deposit to the tenant when the rental contract is terminated:

- 1.- First, an assessment of the condition of the property and a review of the supplies is carried out.
- 2.- Subsequently, the tenants are required, if applicable, to pay the amount necessary to repair the damages (in the case that applies to us, it was the change of the lock and the comprehensive cleaning services [...])”

(Underlining is ours)

LEGAL GROUNDS

I

Competence of the AEPD

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of the LOPDGDD, the Director of the Spanish Data Protection Agency is competent to initiate and resolve this procedure.

Article 63.2 of the LOPDGDD states that “The procedures processed by the Spanish Data Protection Agency will be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development, and, in so far as they do not contradict them, subsidiarily by the general rules on administrative procedures.”

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II

Applicable provisions

Article 5 of the GDPR, “Principles relating to processing,” establishes:

“1. Personal data shall be:

- a) processed lawfully, fairly, and transparently in relation to the data subject (<>)

[...]

2. The data controller shall be responsible for compliance with the provisions of paragraph 1 and be able to demonstrate it (<>”).

Article 6 of the GDPR, under the heading “Lawfulness of processing,” determines in its paragraph 1 the circumstances under which data processing is considered lawful:

“1. Processing shall be lawful only if at least one of the following conditions is met:

- a) the data subject has given consent to the processing of their personal data for one or more specific purposes;
- b) processing is necessary for the performance of a contract to which the data subject is a party or to take steps at the request of the data subject prior to entering into a contract;
- c) processing is necessary for compliance with a legal obligation to which the data controller is subject;
- d) processing is necessary to protect the vital interests of the data subject or another natural person.
- e) processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller;
- f) processing is necessary for the purposes of the legitimate interests pursued by the data controller or by a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, in particular when the data subject is a child.

The provision in point f) of the first paragraph shall not apply to processing carried out by public authorities in the performance of their tasks.”

Article 4 of the GDPR, “Definitions,” provides that, for the purposes of this Regulation, “2) <>: any operation or set of operations performed on personal data or sets of personal data, whether by automated means or not, such as collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use, disclosure by transmission, dissemination or otherwise making available, alignment, combination, restriction, erasure, or destruction;”.

III

On the invoked “Exceeding the AEPD in reviewing the conduct of the real estate company MESLLOC”

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For reasons of logical argumentation, the alleged overreach of the AEPD referred to by the respondent in its allegations regarding the proposed resolution is examined first.

It asserts that the proposed resolution “seriously contradicts the established doctrine in the Judgment of the National Court No. 6460/2022,” dated 23/12/2022, ECLI:ES:AN: 2022:6460, a copy of which is provided as an annex document.

It states that through the proposed resolution issued in this sanctioning procedure, the AEPD “[...] exceeds the capacities of judgment assigned to it for procedures initiated at the request of an interested party, attempting to conduct an expansive analysis that encompasses behaviors not reported by the complainants themselves and which, therefore, cannot be taken into account when establishing aggravating factors, nor potentially the imposed sanction.” (The emphasis is ours)

It considers that the doctrine established in the SAN of 23/12/2022 is applicable to the case concerning this sanctioning file since the complainants “expressed their disagreement solely and exclusively regarding the invoice issued for the provision of cleaning services in the apartment. It is only regarding this that the complainants allege that they had not been informed nor had they authorized the use of their data.” “However, they say nothing about the invoice concerning the supply and installation of the security bulb [...]” (The emphasis is ours)

The respondent reproduces this excerpt from the SAN of 23/12/2022 which, in its opinion, reflects the doctrine of the National Court, Administrative Litigation Chamber, that the proposed resolution would have infringed:

“To this end, it is argued that the Agency limits itself to taking advantage of the existence of complaints focused on specific and individual facts, referring exclusively to the processing operations of the

complainants for commercial purposes to initiate a sort of general review of BBVA's actions and to instruct a procedure that bears no relation to the content of the complaints, to the extent that the resolution does not link any of its reasoning to the content of said complaints. Only one of the complaints, that corresponding to complainant 2 [...]

That is to say, the existence of these complaints is exploited to process a kind of 'general cause,' something that is expressly referred to when attempting to link the complaints with 'the general policy of the entity regarding data protection' in its Legal Basis III."

It also reproduces this excerpt from the complaint submitted in which the complainant states that on 17/09/2021, they received a pdf file "where the return of the deposit made at the beginning is notified. Within this file, the deduction of expenses is also notified: [...]€ for the lock; [...]€ for water and [...]€ for cleaning. Regarding this last invoice, we had not been informed of its existence, nor of its cost, but, on the other hand, in the pdf file that they send us, my name and ID and the name and ID of my partner appear as clients, when we have not authorized at any time the use of this data. Thus, I consider that the current regulations on data protection have been violated by using our name and [...]"

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official documentation (DNI) to issue an invoice without our authorization and consent [...]" (The underlining is from INMOBILIARIA MESLLOC)

It also reproduces a fragment of the document - submitted as number 8 attached to its allegations - in which the OMIC of the ***LOCALITY.1 City Council conveys the allegations of the consumer, now the claiming party, in which it exclusively mentions the invoice issued for the cleaning service.

In response to the claims made by the responding party, some clarifications must be made:

The first refers to the fragment of the SAN that has been reproduced, which supposedly would be indicative of "the doctrine established in the Judgment of the National Court no. 6460/2022" that is considered violated by the proposed resolution.

However, that fragment of the judgment, which comes from the Fifth Legal Basis of the cited SAN, paragraphs two and three, does not reflect the opinion or doctrine of the Chamber of the Court that issued the judgment, but rather the position of the plaintiff. In other words, in that paragraph, the court is outlining the arguments put forth by the plaintiff, so it does not reflect the court's doctrine or the basis of the judgment issued by the A.N.

The second clarification is that, since the SAN invoked by the opposing party is not final, as it has been appealed in cassation, and said judgment referred, as doctrine to follow, to another from the same Chamber and Section (SAN of 23/04/2019, Rec. 88/2017), it seems correct to analyze the alleged violation of the doctrine of the A.N. that is invoked, taking as a reference the judgment on which the cited SAN by the responding party and currently contested was based.

The SAN of 23/12/2022 states in the Fifth Legal Basis:

"Given these circumstances, the doctrine established in our judgment of April 29, 2019 is applicable to the case at hand.

In that judgment, we referred to the principles of the procedure [...]

Therefore, as we stated in the frequently cited Judgment of April 23, 2019, the Chamber considers that "the AEPD has not initiated a sanctioning procedure, based on the report of specific facts, and in which, respecting the principles that govern such a procedure, it has reached a sanctioning resolution after making a reasonable assessment of the evidence."

The SAN of 23/04/2019, Rec. 88/2017, in its Seventh Legal Basis refers to the principles that inform the sanctioning procedure, its regulation, and the jurisprudence of the Constitutional Court (T.C.). In the Eighth Legal Basis, "the Chamber considers that in relation to the case currently being judged, these principles have not been duly respected." Regarding the proven facts, it states: "it can be verified how in the four proven facts [...], there is not the slightest reference to the complaints of the interested parties, nor to the results of the evidence requested by them or of the other evidence carried out by the instructor, nor

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there is no specification of any individualized fact that gave rise to the initiation of the preliminary investigation proceedings.” In the ninth legal basis, it specifies that “the proven facts of the resolution do not meet the requirements that, according to the principles outlined, must be respected in a sanctioning procedure.” “Firstly, because such proven facts appear to be completely disconnected from the reported facts [...], completely disregarding the AEPD's findings from the investigations carried out following those reports, as well as the numerous pieces of evidence presented.” “Another determining factor or element of the sanctioning procedure will be the assessment of the evidence, which is also not clearly carried out in the present procedure.” “At no other point in the resolution are the specific complaints analyzed or referenced, nor is there an assessment of the evidence presented regarding them, [...] The resolution does not make any specific assessment of such evidence nor does it reasonably express what the outcome of the same was.”

The conclusion of the Chamber in that judgment of 23/04/2019, Rec. 88/2017, is stated at the end of its ninth legal basis:

“In short, the Chamber considers that the AEPD, in this case, did not initiate a sanctioning procedure based on the report of specific facts, and in which, respecting the principles governing such a procedure, it reached a sanctioning resolution after making a reasonable assessment of the evidence, but rather, as it itself acknowledges, it has made use of a sanctioning procedure to establish an interpretative criterion regarding the issues raised by the complainants - the disagreement with the criteria already established by the AEPD itself in a press release - in accordance with the guidelines of the European Union Data Protection Authorities Group.”

(Emphasis is ours)

On such premises, it is necessary to conclude that there is no parallelism between the assumptions that justified the pronouncement contained in the SAN of 23/04/2019, on which the invoked SAN of the opposing party is based, which is not final, and the characteristics of the sanctioning procedure now processed, in which the complaint filed and the documentation provided by the complaining party determined the opening of the sanctioning file. Therefore, it is not possible to extrapolate to the matter at hand the doctrine of the National Court contained in the aforementioned judgment.

In any case, the Agency's actions in this sanctioning procedure are in accordance with the LPACAP. In this regard, we cite Article 88 of the LPACAP, “Content,” which states:

“The resolution that concludes the procedure will decide all the issues raised by the interested parties and those others derived from it.

When it comes to related issues that have not been raised by the interested parties, the competent body may rule on them, putting it...”

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before being made known to them for a period not exceeding fifteen days, so that they may formulate any allegations they deem pertinent and provide, if applicable, the means of evidence.”

The respondent bases the alleged overreach of the AEPD on the fact that the complainant, in their complaint, exclusively mentioned the fact that cleaning expenses had been deducted from the apartment, about which they had not been informed, and that their data and that of the co-tenant had been communicated to the company that provided that service, which issued an invoice with their data (name, surname, and NIF) as clients.

The agreement to initiate the sanctioning procedure was based on the complaint submitted and the documents provided with it by the complainant. In addition to the cleaning invoice, the locksmith invoice was also provided. Both invoices contained their data and that of the co-tenant as clients of the

respective service-providing companies. The complainant also submitted the emails exchanged with the real estate agency, in which they merely accepted that the cost of installing a new lock in the apartment be deducted from the deposit.

According to the documentation attached to the complaint, it was observed that the respondent had communicated the data of the co-tenants to two service providers and that there were no indications that either of the two communications was based on any lawful basis contemplated in the GDPR.

In exercising its functions, it is the Agency's responsibility to examine, in light of the documentation provided by the complainant, whether the processing of their data carried out by the respondent has been compliant with the GDPR. Therefore, there has been no overreach in the actions of the AEPD but rather a diligent fulfillment of its functions based on the complaint received along with the documents provided by the complainant.

IV

Data Controller

The real estate agency MESLLOC processed the personal data of the complainant and their partner as the data controller.

Article 4.7 of the GDPR defines the data controller as “the natural or legal person, public authority, service, or other body that, alone or jointly with others, determines the purposes and means of the processing.”

The Guidelines 7/2020 of the European Data Protection Board specify that the concept of data controller is a functional concept, as its purpose is to assign responsibilities based on the actual role played by each party in the processing carried out. The aforementioned Guidelines (section 12) state that “the legal status of ‘data controller’ [...] of the participants must be established in principle based on their specific activities in a given situation and not based on the formal designation of a participant as ‘data controller’ [...] This implies that the assignment of the role of data controller [...] should normally derive from an analysis of the facts or circumstances of the case and, in

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consequently, it is not negotiable.” They add (heading 13) that the concept of the data controller is an “autonomous” concept as it must be interpreted fundamentally in accordance with Union Law on data protection and “should not be affected by other concepts —with which it sometimes collides or overlaps— from other areas of law.”

V

Determination of conduct contrary to the GDPR

The conduct that constitutes the infringement of the GDPR for which the real estate agency MESLLOC is held responsible consisted of communicating the personal data of the complainant and their partner - the name, two surnames, and the NIF - to third companies, which issued invoices in the name of both, as clients, for the concepts of “supply and installation of a security lock on the entrance door of the residence” and “comprehensive cleaning.”

In this regard, the file contains - Proven Fact three - the two invoices that the locksmith and the cleaning company issued in the name of the complainant and their partner on the dates 02/09/2021 and 10/09/2021, respectively. Therefore, several days after the tenants terminated the contract and returned the keys to the residence.

There is no dispute regarding the fact that it was the claimed real estate agency that communicated the personal data of the co-tenants of the residence, in whose rental contract it acted as administrator, to the Locksmith ***COMPANY.1 and to the Provider of cleaning services “***COMPANY.2.” The claimed party has acknowledged on several occasions that it was she who provided the data to the entrepreneurs who provided the services and issued the corresponding invoices, conduct for which it believes it was fully legitimized. In the two writings submitted to the AEPD, it has acknowledged that it carried out such communication:

In the response to the information request directed to it by the Inspection Subdirectorate of the AEPD, prior to the initiation of the sanctioning procedure, it stated that:

“Mr. [the complainant] / [the complainant's partner] proceeded to change the security lock that the apartment had for a new one of lower quality, so as they did not return the lock installed by the owner,

they agreed to pay for a lock of the same quality at the expense of Mr. [the complainant] / [the complainant's partner], which is why their data was provided to the supplying company, since the invoice was paid by Mr. [the complainant] / [the complainant's partner], although deducting it from the amount they had previously delivered as a deposit.” (The underlining is ours)

In its written allegations to the initiation agreement, it stated:

“It should be emphasized that if MESLLOC had not had the consent to contract such services from the tenants, (whether by email or by phone), THE PERSONAL DATA OF THE SAME WOULD NOT HAVE BEEN COMMUNICATED, and consequently, the invoices in question would not have been issued.

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In this case, the claimant consents to the change of cylinder, accepting their responsibility and obligation, but we cannot help but wonder what was expected of us, that we would not communicate the data to a third-party provider? Such communication is necessary to carry out the services and consequently the issuance of the corresponding invoice.

Similarly, this was done with the cleaning company. Perhaps our mistake here was not putting in writing (at least via email) the conversation held with [the claimant] who was aware of the condition of the property being delivered and wanted an invoice in order to act subsequently. [...]” (The uppercase letters are from the responding party)

VI

Violation of the principle of lawfulness

1. The GDPR requires that any processing of personal data complies with the principles established in its Article 5, including that of lawfulness (Article 5.1.a). For a specific processing operation to be lawful, it must be based on at least one of the legal bases listed in Article 6.1 of the GDPR. Among the processing bases included in Article 6.1 of the GDPR, its paragraphs a) and b) refer, respectively, to the consent of the data subject for the processing of their data for one or more specific purposes and to the processing that is necessary for the performance of a contract in which the data subject is a party or for the application at their request of pre-contractual measures.

The responding party has claimed, both in its response to the information request from the Inspection Sub-Directorate and in its arguments regarding the initiation agreement and the resolution proposal, that the processing carried out was lawful and based on the circumstances of paragraphs a) and b) of Article 6.1 of the GDPR.

However, the disputed processing is not covered by any of the lawful grounds provided for in Article 6.1 of the GDPR, nor by those described in paragraphs a) and b).

2. As indicated during the proceedings, there is no doubt that the real estate agency MESLLOC, in its capacity as administrator of the leased property, was legitimized by virtue of the lease agreement entered into and on the basis of Article 6.1.b) of the GDPR to process the personal data of the co-tenants when the processing was necessary for the development and execution of that lease agreement.

Therefore, it was lawful for MESLLOC to process the data of both tenants for the purpose of demanding from them, during the settlement of the deposit, the economic compensation owed to the property owners, which arose from the obligations that, by virtue of the contract entered into, fell upon the co-tenants. That and no other was the necessary processing for the development or execution of the aforementioned lease agreement.

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To this effect, it must be recalled that the real estate agency MESLLOC had access to the data of the

claimant and their partner in connection with the lease agreement for a property in which it acted as the administrator of the property. The real estate agency and the owners of the property had entered into an "administration contract" (a copy of which is in the file) under which the former assumed, among other obligations, the duty to draft and sign the lease agreement for the property, deposit the security deposit with the Catalan Land Institute (Incosol), and the preparation, management, and collection of the generated receipts.

The claimed real estate agency intervened as a party in the lease agreement from which the facts arise in the capacity of "administrator of the leased property," acting on behalf of Ms. D.D.D., who was in turn authorized to exercise the powers conferred upon her by the administrative body of the company acting in commerce as Inmobiliaria Meslloc. This is evidenced by the power of attorney granted by the sole administrator of the company in favor of Ms. D.D.D., a copy of which is in the administrative file.

On the other hand, the lease agreement from which the examined facts arise was subject to Law 29/1994, of November 24, on Urban Leases (LAU), and thus had to be governed by the provisions of its Titles I and IV, which are imperative in nature, by the agreements, clauses, and conditions stipulated by the parties in the contract, and, subsidiarily, by the provisions of the Civil Code.

Therefore, the provisions of Chapter IV of Title II of the LAU, which deal with the rights and obligations of the parties, were applicable to the lease agreement entered into by the claimant and their partner. Among the obligations incumbent upon the tenant, Article 21 of the LAU, "Conservation of the dwelling," establishes in point 4 that "The minor repairs required by the wear and tear from ordinary use of the dwelling shall be the responsibility of the tenant." For its part, Article 23, "Works by the tenant," provides in point 1, last clause, that "Under no circumstances may the tenant carry out works that cause a decrease in the stability or safety of the dwelling." It adds in point 2 that "If, despite the provisions of paragraph 1 of this article, the tenant has carried out works that have caused a decrease in the stability of the building or the safety of the dwelling or its accessories, the landlord may immediately demand from the tenant the restoration of the items to their previous state." (The underlining is ours)

The lease agreement signed between the claimant and their partner and the real estate agency MESLLOC was limited to incorporating the obligations imposed on the tenant by the LAU: stipulation 7.a) of the contract refers to the minor repairs required by the wear and tear from ordinary use of the dwelling (Article 21.4 of the LAU) and stipulation 9.a) refers to the works by the tenant that cause a decrease in the stability of the building or the safety of the dwelling as mentioned in Article 23 of the LAU.

Furthermore, it is worth mentioning that in the lease agreement, no additional powers were granted to the landlords, in order to demand compliance from the tenants with the obligations arising from the contract, beyond those conferred by the LAU.

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Therefore, in execution of the lease agreement, the lessors were authorized - and on their behalf, the real estate agency MESLLOC, due to its role as administrator - to require the co-tenants to pay for the cost of repairs due to normal wear and tear of the property (Article 24.1 of the LAU), such as the cost of cleaning the rented apartment, and also to demand compliance with the obligation to restore referred to in Article 23.2 of the LAU: the lessor may require the tenant "to restore the items to their previous state." Article 1098 of the Civil Code states regarding obligations to act: "If the obligated party does not perform a certain action, it shall be ordered to be executed at their expense." In this sense, the tenant and claimant, faced with the impossibility of returning the security bolt of the front door, responded affirmatively to the proposal made by the real estate agency via email: that they would proceed to install a new one and deduct the cost from the amount of the security deposit.

Ultimately, the treatment that was deemed "necessary" for the execution of the lease agreement was limited to requiring the tenants to pay the amount of the compensation due, for which, in this case, it

was sufficient to deduct its amount from the deposited security deposit. The real estate agency did so, as evidenced by the liquidation document in PDF format sent to the claimant, which reflected the amount of the two security deposits - "Incosol" and "Deposit" - and the expenses to be deducted - "Cleaning apartment," "Water," and "Invoice for changing lock" - and the result of the compensation, favorable to the claimant.

It is a different matter that the respondent communicated the data of the co-tenants to service provider companies as clients of such companies. Such treatment could in no case be based on paragraph b) of Article 6.1 of the GDPR in connection with the aforementioned lease agreement.

Article 6.1.b) of the GDPR refers to the treatment that is "necessary" for the performance and execution of a contract (in this case, the only contract whose existence has been proven is the lease agreement) and the term "necessity" has its own independent meaning in Community Law. The Court of Justice of the European Union considers it to be an "autonomous concept of Community Law" (CJEU judgment of 16/12/2008, case C-524/2006, paragraph 52) and the European Court of Human Rights states that the "adjective necessary is not synonymous with 'indispensable' nor does it have the flexibility of the expressions 'admissible,' 'ordinary,' 'useful,' 'reasonable,' or 'desirable'" (paragraph 97 of the ECtHR judgment of 25/03/1983).

Therefore, to enforce the rights arising from the lease in favor of the lessors - and on their behalf in favor of the real estate agency - it was not necessary to communicate the tenants' data to third-party companies.

3. In its allegations regarding the initiation agreement, the respondent incurs a certain contradiction. In such allegations, on the one hand, - following the point that in the opening agreement it had been noted that it was not authorized by the lease agreement to contract with third-party providers on behalf of the tenants - it stated the following (page 7, second paragraph, of its document):

"[...] and continuing with another of the assertions made by this Agency regarding the fact that MESLLOC did not have legitimacy to contract on behalf of another,

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We want to clarify that this is not a hiring, but rather an intermediation. [The real estate agency Meslloc] is a company established to provide real estate services, so in all the adjacent services it offers, it acts as an intermediary for them." (The underlining is ours)

And, on the other hand, in that same written statement of allegations, it made repeated references to the existence of respective contracts between the tenants and the service providers.

Thus, it stated among other things:

"It should be emphasized that if MESLLOC had not had the consent to contract said services from the tenants, (whether by email or by phone), PERSONAL DATA OF THE SAME WOULD NOT HAVE BEEN COMMUNICATED, and consequently, respective invoices subject to the controversy would not have been issued." (Page 3, fifth paragraph, second clause). (The underlining is ours)

"The Administrator of the property has always had the consent to contract both services." (Page 4, fifth paragraph)

"We, as the intermediary party between the landlord and the tenant, are the ones responsible for ensuring compliance with contractual requirements and therefore the ones who offer the possibility of contracting the necessary services for that purpose.

Therefore, it is common for tenants to request such additional services from the property management to carry out repair and maintenance services for properties, and consequently, these are services that the service provider ends up billing directly."

"It has been demonstrated that for the change of the lock cylinder, the tenant expressly accepts the contracting of said service, but however does not agree with the amount of the cleaning service performed. (but not with the execution of the service itself)."

"In the present case, the claimant gives his consent to the change of the lock cylinder, accepting his responsibility and obligation, [...]"

Similarly, this was done with the cleaning company. Perhaps our mistake here was not putting in writing (at least by email) the conversation that took place with [the claimant] who was aware of the condition of the property he was handing over and wanted an invoice to be able to act subsequently. [...]"

"[...] He [the claimant] agreed to the contracting of said service. Obviously, this company requires personal data to issue its corresponding invoice which serves as a document for the settlement of the deposit."

"[...] Furthermore, Inmobiliaria MESLLOC has always had the consent of the claiming party, as they accept the contracting of said services and are fully aware of the purpose for which their data will be transferred.

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Therefore, we understand that MESLLOC did have a legal basis for the processing and communication of data to the providers that rendered services under the provisions of art. 6.1.a. and 6.1.b. of the GDPR."

(Underlining is ours)

In light of your allegations regarding the opening agreement, in which you considered that the basis for processing was article 6.1.b) of the GDPR and acknowledged the existence of contracts for services with third-party providers issuing invoices with the data of the tenants, the Agency stated in the proposed resolution - after explaining that the processing carried out could not be covered by article 6.1.b) of the GDPR in connection with the lease contract - that, if it could have been proven that the complainant and their partner consented to the contracting in their name with third-party companies, it would indeed have to be accepted that the legal basis for the processing - the communication of their data to third parties, the service providers - would have been constituted by article 6.1.b) of the GDPR in connection with such contracts (in no case in relation to the lease contract).

However, as stated in the proposal, the respondent had not proven that the complainant and their partner had personally contracted with the third parties nor that they had granted their consent for the respondent to contract in their name with the service providers.

During the evidentiary phase, the respondent was required to demonstrate with documentation that the co-tenants had authorized them, had given their consent, for them to process their personal data for the purpose of entering into a contract in their name with the locksmith and with the cleaning company.

The respondent replied in these terms:

"We attach an email sent by the complainant in which they expressly accept the change of the lock and its deduction from the deposit, so we understand that it implicitly contains the authorization for the issuance of the invoice, and regarding the cleaning, we have also stated that we had a telephone conversation in which the issuance was authorized." (Underlining is ours)

The document referred to contains the exchanged emails between the respondent and the complainant from the addresses ***EMAIL.1 and ***EMAIL.2, respectively, from 31/08/2021 and 17/09/2021 (see proven fact three).

The only evidence that the respondent has provided consists of the emails exchanged with the complainant regarding the lock of the residence. In those messages, the complainant, in addition to confirming that they had not managed to find the original lock of the residence, agrees to the option proposed by the respondent: to install a new lock and "deduct it" from the deposit.

The complainant's response to the email does not prove that they and their partner had granted the respondent their consent for them to process their data for the purpose of entering into a contract in their name with the locksmith, despite the fact that the

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The respondent believes that from the exchanged emails it can be “understood” that it “implicitly contains the authorization for the issuance of the invoice.”

We consider that the emails only prove that the tenant assumed the obligation arising from the lease agreement, of which they were a part, to indemnify the landlords, an obligation that is fulfilled by the respondent deducting from the deposited security the amount of the indemnity owed to the landlords, in accordance with the contractual stipulations that align with the provisions of the LAU.

Regarding the alleged consent that the co-tenants would have granted to the respondent real estate agency to contract on their behalf with service providers, we must refer to other allegations that the respondent has been making in this regard:

“The purpose of the processing declared and informed in the privacy policy of the corporate website is the provision of real estate services, including the communication of data to industrial providers when necessary for the provision of any requested service.”

That “it is common for tenants to request such additional services from the property management to carry out repair and maintenance services for properties, and consequently, these are services that the service provider ends up billing directly.”

The privacy policy of the website (a copy of which is provided as an annex to its allegations in the proposed resolution) states in point 3. “Real estate management and other services.” “The purpose of the processing is the management of clients related to the services offered by the company (real estate management, buying and selling, and rentals) which you can see in detail on the website. • The legal basis for the processing is the consent that is considered granted with the request for information and the voluntary provision of your data as well as the existence of a contractual relationship.”

In the Register of Processing Activities (RAT) of the real estate agency, a copy of which is provided with its allegations to the proposal, it states regarding the processing of data of “Clients” that the purposes of the processing are the “Management of commercial and professional relationships established with clients and contacts. Property management and other services: real estate management, insurance.” And as “Legal basis for the processing” it states “Contractual relationship.” Thus, the legal basis referred to in the RAT and in the privacy policy is a contractual relationship whose existence must be proven.

As for the contracting with the locksmith, the emails provided, in which the claimant agrees to the option offered by the real estate agency to deduct from the security deposit the amount of a new lock, since they cannot find the original one that was in the property, do not prove that they consented to the respondent entering into a contract on their behalf with a third party, the provider of that service.

Regarding the contracting of the cleaning service, the respondent has not been able to provide any evidence, not even an indication, that demonstrates the alleged consent of C/ Jorge (...), 6

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the co-tenants to such contracting. She has limited herself to stating that in a phone call (the recording of which has not been provided) the claiming party demanded an invoice from her, from which she infers that she granted consent for a contract to be made in her name with a third party to provide that service.

At this point, it is necessary to emphasize that, according to Article 5.2 of the GDPR, which introduces the principle of proactive responsibility, the data controller must comply with the principles established in Article 5.1 and be in a position to demonstrate compliance.

The burden is placed on the data controller to prove that the communication of the claimant's and their partner's personal data (the tenants) to the companies was covered by one of the lawful bases for processing described in Article 6.1 of the GDPR. And, if as occurs here, the contested processing is invoked based on paragraph b) of Article 6.1 of the GDPR, the respondent must be able to demonstrate that the tenants consented to enter into a contract with the third-party providers in which the real estate agency acted on their behalf.

However, the respondent has not provided any evidence or indications of the alleged consent of the

tenants to the contracting of services with the supplier companies; a contract on which to base the contested processing in connection with the lawful basis of Article 6.1.b) of the GDPR, whose concurrence in these facts is invoked.

4. In its allegations against the proposed resolution, the respondent reiterates that the processing carried out was lawful and was covered by the circumstances of paragraphs a) and b) of Article 6.1 of the GDPR, but this time asserts that the legal basis of paragraph b) of Article 6.1 is based on the lease contract.

It dedicates the second allegation of its document against the proposed resolution to this issue, which bears the title: "The tenants' data was necessary for the execution of the lease contract" (The emphasis is ours).

In that heading, it states that, in the Agency's opinion, the execution of the lease contract only authorized the landlord, or their representative, "to demand payment from the tenants for a sum of money, as the provisions of the LAU refer to the fact that 'the small repairs shall be the responsibility of the tenant' or that the restoration to the previous state shall be ordered at their expense" (Articles 21.4 and 23.2 of the LAU in relation to Article 1,098 of the Civil Code).

And it adds:

"Consequently, this Agency maintains that the actions of the real estate agency were not based on the powers that the LAU and the lease contract granted to the landlord to assert their rights, therefore the processing of personal data carried out exceeded the execution of the contract."

The respondent disagrees with what the Agency stated in the proposed resolution and offers this sole argument:

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"However, the AEPD forgets that INMOBILIARIA MESLLOC, as an intermediary between the landlord and the tenant, is responsible for enforcing contractual requirements and therefore offers the possibility of contracting the necessary services for that purpose. Therefore, it is common for tenants to request such additional services from the property management to carry out additional repair and maintenance services for properties, and consequently, these are services that the service provider ultimately invoices directly. To this end, INMOBILIARIA MESLLOC is aware that the then-tenants had to accept the contracting of such services, which is why the real estate agency contacted them to request such authorization. We refer to this issue regarding the consent granted by the parties for the contracting of locksmith and cleaning services in Allegation Three." (The underlining is ours)

In this paragraph, the respondent (i) acknowledges that contracts were entered into with service providers; (ii) claims that it requested the co-tenants' consent to enter into those contracts ("INMOBILIARIA MESLLOC is aware that the then-tenants had to accept the contracting of such services, which is why the real estate agency contacted them to request such authorization."); (iii) that it, by virtue of its role as property manager, has the authority to enforce the obligations arising from the lease agreement signed by the tenants and, connected to that authority to enforce the obligations that fall on the tenants, (iv) states that the real estate agency "offers the possibility of contracting the necessary services for that purpose."

The scope of the legitimizing circumstance for processing described in section b) of Article 6.1 of the GDPR is limited to that processing which is strictly necessary for the development and execution of the contract in question. And, in this case, the processing necessary for the execution of the lease agreement is exhausted with the payment to the landlords of the amount of the compensation due, which is carried out by deducting from the amount of the deposits—whose purpose is precisely to constitute a guarantee in favor of the owner that the tenant will fulfill the obligations arising from the signed contract—the amount of the compensation due.

Therefore, the legal basis of section b) of Article 6.1 of the GDPR cannot operate as a lawful basis for the processing at issue in this procedure in connection with the lease of the dwelling.

From the exposition in subsections 3 and 4 above, we must conclude that there are no elements of

proof or indications to support that the controversial processing was based on the lawful basis of Article 6.1.b) of the GDPR. It is not admissible to connect that circumstance with the lease agreement—the only contract to which the tenant and their partner were parties, the existence of which has been accredited—given that the processing carried out exceeds what is necessary for the execution and fulfillment of that contract. Nor can the processing be based on Article 6.1.b) in connection with contracts, those entered into with service providers, which the respondent claims the tenants subscribed to through its mediation, as it has not provided any evidence demonstrating that the data subjects consented to the conclusion of such contracts in their name. The arguments that the respondent real estate agency has put forward in that regard...

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The evidence does not prove nor are they indicative of the alleged consent granted by the tenants for that purpose.

5. The defendant has alleged that "the claimants validly provided consent for the processing" and asserts that the processing carried out was covered by the legal basis of Article 6.1.a) GDPR. It states on this matter:

"The GDPR requires that consent be 'unequivocal,' which means that it must be given through a manifestation of the data subject or through a clear affirmative action. [...]"

This consent exists when the user must explicitly say yes or no, but in any case, they must perform an action. Therefore, there is no doubt that Mr. [the claimant] did accept the hiring of both service providers and consequently that the issuance of invoices resulted from such processing. It seems absurd to think that these providers would not issue invoices in his name

[...] The transfer that has been made was necessary to contract the services with the providers, who are the ones that accept the provision of cleaning services and repair services for the dwelling, and so that the tenant would have the documents in their name that prove the payment and the concepts deducted." (The emphasis is ours)

According to the reasoning that the defendant provides in the transcribed paragraphs, the consent of the tenants to which it refers, and which it invokes as the legal basis for the disputed processing in connection with paragraph a) of Article 6.1 of the GDPR, consists of consent to the contracting with third-party service providers. Thus, its reasoning leads us back to the legal basis of Article 6.1.b) of the GDPR.

However, we respond to the arguments it presents. This is despite the fact that, as we say, most of them refer to the existence of a contract between the tenants and the service providers.

The legal basis of paragraph a) of Article 6.1. of the GDPR states, "the data subject has given consent to the processing of their personal data for one or more specific purposes." And Article 4.11 of the GDPR defines the consent of the data subject as "any freely given, specific, informed, and unequivocal indication of the data subject's wishes by which they, by a statement or by a clear affirmative action, signify their agreement to the processing of personal data relating to them."

The consent that would operate as the basis for the lawfulness of the processing is the consent of the affected parties for the transfer of their data to the service-providing companies.

The defendant, by invoking consent as the legal basis for the processing, has stated that what proves that the co-tenants "did accept the hiring of both service providers" are the emails exchanged with

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the claimant and has criticized the scope that the AEPD attributes to the statement made by the claimant in his email sent on 02/09/2021.

Regarding what the claimant stated in his message dated 02/09/2021 and the scope attributed to it by the Agency, it should be noted that in the email sent by the respondent to the claimant on 31/08/2021, he asked whether the claimant still had the front door lock in his possession—given that the co-tenants had changed it—since if not, “we will have to put in a new one and deduct it from the deposit.” The claimant responded on 02/09/2021 that he had not been able to find the lock and added “[...] so I think it is fine for you to put in a new one and deduct it from the deposit.” In his message, the claimant merely states that he thinks it is fine for them to put in a new cylinder or lock and deduct it from the deposit. Neither in his response, nor even in the question, is there any mention of contracting with third-party service companies, so there are no grounds to deduce from that response that he confirms the contracting with a third company or that he consents to the transfer of his personal data to the service providers.

The respondent also states:

“Well, in our case, INMOBILIARIA MESLLOC has indeed taken the trouble to ask the Claimants in advance if they agreed to the contracting of locksmith services, at the expense of the deposit made for their lease, with the affirmative response as can be seen in the emails provided.” (The underlining is ours)

However, such statements—which, moreover, the respondent has made on several occasions in his writing—do not align with the truth.

The respondent has not provided any evidence or indication that shows that he “has taken the trouble to ask the Claimants in advance if they agreed to the contracting of locksmith services.” Similarly, contrary to what he claims, there is no element in the file that proves that the co-tenants “did accept the contracting of both service providers.” Once again, it is necessary to recall that the respondent entity was required during the evidentiary phase to document those aspects, and that their response was to send us the copy (which was already in the possession of the AEPD) of the emails exchanged between the claimant and the respondent.

We reiterate that the only document provided regarding the alleged contracting with the locksmith ***COMPANY.1 in the name of the tenants—since regarding the contracting in the name of the claimants with the cleaning company, he has provided nothing more than his “statement” about an alleged phone conversation—was the repeatedly cited emails, particularly the one he sent on 31/08/2021 and the claimant's response dated 02/09/2021.

In short, despite the fact that the burden of proof lies with the respondent to demonstrate that the processing was covered by the legal basis he invokes as the foundation for legality, there is no element in the file that allows us to conclude that the controversial processing met the circumstances of paragraph a) of Article 6.1 of the GDPR.

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6. Final considerations regarding other statements made by the defendant during the proceedings.

The entity believes that the controversial processing was justified because it was the means by which the tenants could obtain an invoice. However, in a case such as the one at hand, where the payment made by the tenants was intended to compensate the landlord for the amount of the indemnity arising from the obligations under the contract, the landlords, in this case their administrator, were obliged to document the settlement of the deposit by itemizing the deducted amounts. And this was done through the settlement document sent to the claimant.

The defendant has also stated that it follows a “usual” procedure in cases of deposit settlement, as is the case in which the events leading to this sanctioning procedure occurred:

“Next, we proceed to outline [...] what is the usual procedure carried out by the Property Administrator to present the economic settlement of the property and the return of the deposit to the tenant when the rental contract is terminated:

1.- First, an assessment of the condition of the property and a review of the supplies is carried out.

2.- Subsequently, the tenants are required, if applicable, to pay the economic amount necessary to repair the damages (in the case that applies to us, these were the change of lock and the comprehensive cleaning services [...])” (The underlining is ours)

The procedure referred to in their allegations, which they qualify as “usual,” is in line with and corresponds to the powers conferred by the lease agreement. However, it is incompatible with the *modus operandi* followed in the factual case at hand and with the arguments they have used to defend the legality of the processing carried out.

According to the “usual procedure” they describe, upon settlement of the contract, the repair of damages leads to requiring the tenant to pay an economic amount, and not, as they have been defending, the contracting in their name of services from third-party providers to carry out the repairs. As a conclusion of this Ground VI, considering the above, it is deemed proven that the defendant real estate agency communicated the personal data of the claimant and their partner to third-party companies, which issued invoices in the name of both as clients, without that processing being based on any of the lawful grounds of Article 6.1 of the GDPR. The failure to adopt appropriate and effective measures to prevent unlawful processing constitutes the culpability element of the infringement.

VII

Classification

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The communication that the defendant made to third-party companies, service providers, of the personal data of the claimant and their partner constituted a processing of data contrary to the principle of legality.

Therefore, the real estate agency MESLLOC is held responsible for an infringement of Article 6.1 of the GDPR classified under Article 83.5.a) of the GDPR, which states:

“5. Infringements of the following provisions shall be sanctioned, in accordance with paragraph 2, with administrative fines of up to 20,000,000 Euros or, in the case of an enterprise, an amount equivalent to a maximum of 4% of the total annual global turnover of the previous financial year, opting for the higher amount:

a) The basic principles for processing, including the conditions for consent under Articles 5, 6, 7, and 9.”

The LOPDGDD classifies infringements of the GDPR, solely for the purpose of determining their limitation period, into minor, serious, and very serious. Article 72 of the LOPDGDD considers a very serious infringement the violation of Article 6.1 of the GDPR. The provision states:

“1. In accordance with what is established in Article 83.5 of Regulation (EU) 2016/679, the following are considered very serious and shall prescribe after three years: infringements that constitute a substantial violation of the articles mentioned therein and, in particular, the following:

[...]

b) The processing of personal data without any of the conditions for lawful processing established in Article 6 of Regulation (EU) 2016/679.”

VIII

Administrative Fine

1. Article 70.1 of the LOPDGDD provides that “the controllers of the processing” are subject to the sanctioning regime of the GDPR and the aforementioned organic law.

Article 58.2 of the GDPR, paragraphs a) to j), mentions the corrective powers attributed to the AEPD as the supervisory authority, including the power to impose an administrative fine in accordance with Article 83 of the GDPR, paragraph i), and to issue a warning, paragraph b).

2. In its allegations to the initiation agreement, the defendant requested the AEPD to replace the announced administrative fine with a warning.

In the proposed resolution, such request was rejected, stating:

“Recital 148 of the GDPR states regarding the warning: ‘[...] In the case of a minor infringement, or if the fine that would likely be imposed would constitute a disproportionate burden for a natural person, a warning may be imposed instead of a fine. However, special attention must be paid to the nature, gravity, and duration of the infringement, its intentional character, the measures taken to mitigate the damages suffered, the degree of...”

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responsibility or any relevant previous infringement, to the manner in which the supervisory authority became aware of the infringement, to compliance with measures ordered against the responsible party or manager, to adherence to codes of conduct, and to any other aggravating or mitigating circumstances. [...]”.

In the case analyzed, neither the party responsible for the infringement is an individual but a legal entity, nor is the infringement committed minor but serious, as qualified in the opening agreement.”

3. In its allegations to the proposed resolution, the defendant requests that the AEPD reduce the amount of the fine to the “minimum necessary”.

It presents extensive arguments on which it bases this request through two allegations or headings (fourth and sixth of its written allegations) that, in summary, address these issues:

(A) The fourth allegation focuses on attempting to refute, in light of the Guidelines 4/2020 of the EDPB, the qualification of the infringement of the GDPR for which it is held responsible as “serious”.

(B) The sixth focuses on the analysis and subsequent rejection of the circumstances modifying responsibility that were considered aggravating in the proposed resolution and the mitigating circumstances it invokes.

(A) The defendant considers that the proposed fine -€40,000- is “disproportionate”. It examines the criteria that the Guidelines 4/2022 of the European Data Protection Board (EDPB) establish for the calculation of administrative fines under the GDPR. It focuses, in particular, on the criteria under which the severity of the infringements is determined. According to the Guidelines, the Supervisory Authority will assess the severity of an infringement taking into account the circumstances described in paragraphs a), b), and c) of article 83.2 of the GDPR.

It analyzes the application of those circumstances to the factual situation at hand and concludes that, in the event that the AEPD determines that an infringement of article 6.1 of the GDPR has occurred, “the level of severity applicable to the conduct performed must be low”. Consequently, it would not be appropriate to impose, as it would be contrary to the principle of proportionality, the fine established in the proposal (“and therefore, the sanction provided in the Proposal for Resolution cannot be understood as proportionate, neither effective nor deterrent”).

It argues in this regard, in summary, the following:

a) Regarding the circumstance described in paragraph a) of article 83.2 of the GDPR - the nature, gravity, and duration of the infringement - the Guidelines 4/2020 state:

“The supervisory authority may review the interest that the infringed provision aims to protect and the place of this provision within the framework of data protection.

Furthermore, the supervisory authority may consider the degree to which the infringement prohibited the

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effective application of the provision and compliance with the objective it intended to protect.”

The respondent asserts that “in no case could it be understood that the actions of [the respondent] severely prohibited the application of the principle of legality, especially when they were based on two legal grounds (the execution of the contract and the consent of the interested parties) to carry out the processing.” “Therefore, in the event that it is deemed that [...] has committed a violation of Article 6.1 of the GDPR, the extent to which the violation prohibits the effective application of the provision must be low.” (The underlining is ours)

This argument can only be described as inconsistent. In that reasoning, what leads the respondent to conclude that the extent to which the committed violation would prohibit the application of the breached provision is “low” is, according to their words, that the processing “was based on two legal grounds.” Ultimately, it is attempted to justify that the severity of the infringing conduct would be low based on elements that are not proven, as it is precisely the fact that, regarding the processing carried out, there was no legal basis, nor the two invoked in contrary, that determines the violation of Article 6.1 of the GDPR.

It criticizes that it is considered an aggravating factor that the data of two individuals, the two co-tenants, were processed. It states that the processing has affected “only two interested parties,” but we are not facing “a systemic or generalized non-compliance.”

While it is true that we are not facing a systemic non-compliance, or at least it is not proven, it is indeed established that the processing concerned the data of two natural persons, so the processing carried out in this case cannot be assessed with the same severity as the processing concerning a single interested party. The Guidelines refer in this regard to the “number of specific but also potentially affected interested parties. [...] The greater the number of interested parties involved, the more weight this factor may carry for the supervisory authority.”

b) Circumstance of paragraph b, of Article 83.2 of the GDPR: the intentional or negligent nature of the infringement.

It states that it has acted “in compliance with the diligence standards typical of its sector of activity” and that there has been no intention to violate the GDPR. The respondent justifies the processing carried out—which violates Article 6.1 of the GDPR, as explained in Recital VI—by stating that its actions were in accordance with the diligence standard followed in the sector to which it belongs.

However, in light of the results of the evidence presented, the respondent did not observe the diligence required by the GDPR: to comply with the obligations imposed by this Regulation, which now concerns the principle of legality, being able to demonstrate, through the application of the measures that are indispensable for this, that in the processing carried out it observed this principle.

Regarding its willingness to comply with the provisions of the GDPR, it argues: “In fact, the willingness to comply clearly derives from the fact that, even having...

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as a legitimizing basis for the execution of the contract, [...] took care to obtain the consent of the Claimants so that they were informed at all times about the processing of their data.”

This argument lacks value as it is based on assertions that do not reflect reality: We refer to Recital VI of this resolution, which clearly shows that the data processing carried out was not based on any of the legal bases outlined in Article 6.1 of the GDPR and that no evidence has been provided—despite being requested during the evidentiary phase—that demonstrates that consent was obtained from the tenants for contracting with third-party providers.

c) Circumstance of paragraph c, Article 83.2 of the GDPR: categories of personal data affected by the infringement.

It expresses its total disagreement with the proposed resolution in which the NIF data is considered “especially sensitive, as it unequivocally identifies a person.”

The respondent cites the Guide on “Risk Management and Impact Assessment in Personal Data

Processing” from the AEPD, which states that “unique identifying data, including the DNI (or NIF), have a ‘Medium’ risk level.” The respondent “provides a screenshot of this guide (page 86 of 160), where the medium risk level associated with this category of data can be seen.”

Regarding the reference made in the proposed resolution to Recitals 51 and 75 of the GDPR to justify the special sensitivity of this data, which it denies, it comments that it could be the case where “the NIF is equivalent to the tax identification number or social security number. Clearly, this fact would denote a greater sensitivity of this data. However, we must insist that this is not the case in Spain and, consequently, the Agency rightly considered in the aforementioned guide that this data should be assessed with a medium risk level.” (The underlining is ours)

In response to the contrary invocation, the following should be clarified:

The very entity being claimed against acknowledges in its comment regarding Recitals 51 and 75 that in those cases where “the NIF is equivalent to the tax identification number,” the processing of that data would denote greater sensitivity and then states that “this is not the case in Spain.” Such an assertion is incomprehensible. The NIF, which has been the data subject to processing in the analyzed factual case, is indeed the tax identification number of the two interested parties.

As for the reference to the AEPD's guide on “Risk Management and Impact Assessment in Personal Data Processing,” in which a table on page 86 categorizes “unique identifying data” as having a “Medium” risk level, including “DNI, NIE, Passport No. or equivalent” (the NIF is not mentioned), we must warn that such reference intentionally simplifies the considerations made in the guide regarding risk and its assessment. It analyzes from different perspectives and combines risk factors with multiple elements. As an example, we can...

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refer to the outline on page 91, which analyzes the “Collateral effects of the treatment.” “Risk factors arising from the context of the treatment that may lead to unforeseen consequences not contemplated in the original intended purposes of the treatment.” It is identified as a “Risk Factor” that “Could impede control over their personal data” and qualifies the “Impact” on the risk as “Very high.” Thus, transferring these considerations to the case presented here, when the data of the tenants, including their respective NIF, is communicated to third parties without a lawful basis, they are deprived of the ability to control and know by whom and for what purpose their data is processed, and the impact of that processing from the risk perspective is classified as very high.

B) Under this section, mention is made (B1) of the analysis that the responding party has made in its allegations in order to reject the application of the circumstances that the Agency considered as aggravating in the proposed resolution and (B2) of the circumstances it invokes as mitigating.

(B1) Regarding what is stated in the proposed resolution about the aggravating circumstances, the following considerations are made:

a) Concerning the circumstance of Article 83.2.a), “scope or purpose of the processing operation and number of affected data subjects.”

It opposes the application of such an aggravating factor since, in its opinion, we are dealing with “linked operations,” a situation contemplated in the Guidelines 4/2022 of the EDPB “understood as the legally necessary processing operations for the processing operations to be carried out.” “According to what is established by the EDPB, in the case of being in this situation of linked operations, the sanctionable conduct must be considered as a single one.” “Therefore, following this criterion of the EDPB, we would not be facing two autonomous processing operations as the AEPD intends, thus ruling out this aggravating circumstance.” (The emphasis is ours)

It rejects the aggravation of the responsibility appreciated in the proposed resolution for having processed data of two individuals (the data of the co-tenants). It states that such aggravation is “out of place” due to the “couple and cohabitant situation in the rented apartment, for a processing that, as now indicated, should be considered the same.” Thus, it concludes that this second aggravating circumstance should also be ruled out.

It also invokes the possibility of recognizing the existence of a "unit of action" and consequently applying Article 83.3 of the GDPR. To this effect, it states the following: According to the EDPB "there is a unit of action, that is, when a single action infringes the same legal provision multiple times. This could be the case, particularly when the circumstances configure an iterative and kindred infringement of the same legal provision in a close spatial and temporal succession."

In response to such arguments, we must point out that the responding party incurs a conceptual error in this sixth allegation of its written submissions to the proposal. In that section, when expressing its position on the factors that the AEPD appreciated as aggravating in the proposed resolution, it invokes the existence of

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"linked operations" and the possibility that a "unit of action" may also be appreciated, all of which would determine the application of Article 83.3 of the GDPR and, in its judgment, consequently, would result in the aggravating factors on which its comments revolve not being appreciated.

It confuses in its argument what are the circumstances or factors that Article 83.2 of the GDPR establishes in order to determine the amount of the sanction that should be imposed in each case, which are an instrument to realize the proportionality of the sanction with the severity of the infringing conduct, with a question that has nothing to do with those circumstances and that is prior: the determination of which conduct or conducts constitute the infringement.

The invoked Guidelines 4/2020 of the EDPB in its Chapter 3, "Simultaneous infringements and application of Article 83, paragraph 3, of the GDPR," state in paragraph 21 that "Before being able to calculate a fine based on the methodology of these guidelines, it is important to first consider what conduct (factual circumstances regarding the behavior) and infringements (abstract legal description of what is sanctionable) the fine is based on." (The emphasis is ours) This is because, in light of certain facts, the existence of one or several sanctionable conducts may be appreciated. Furthermore, the same behavior may give rise to a series of different infringements when the attribution of one infringement opposes the attribution of another infringement or can be attributed to each other. In other words, there may be cases of simultaneous infringements.

Regarding the "unit of action" invoked by the respondent, paragraph 38 of the Guidelines 4/2020 states:

"Just as in the case of the concurrence of infringements, the principle of unit of action (also referred to as 'ideal concurrence') applies in cases where a conduct is encompassed by several legal provisions, with the difference that one provision is not excluded or subsumed by the applicability of the other, as they do not fall within the scope of the principles of specialty, subsidiarity, or consumption and mostly pursue different objectives."

The GDPR applies the rule of Article 83.3 both in cases of "linked operations" and in cases of "unit of action."

Now, having established the above, it should be indicated that, in the matter at hand, the existence of a single infringing conduct was appreciated. As stated in the cited Guidelines, "The term 'linked' refers to the principle that a unitary conduct may consist of several parts carried out by a unitary will and that are contextually (particularly regarding identity in terms of person, purpose, and nature), spatially, and temporally related so closely that an external observer considers them as a single coherent conduct."

Such infringing conduct -as has been repeatedly stated since the beginning of the file- consisted of communicating the personal data of the co-tenants to third-party service providers without any legal basis. In purity, there were two actions by the respondent in which it violated the principle of legality, as

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entered into two contracts, one with each service provider, and with each of them, facilitated the personal data of the tenants in their capacity as clients. The data processed in both contracts affected the same individuals, the co-tenants, and the processing carried out (in each of the contracts) occurred when the respondent had to proceed with the settlement of the lease. Hence, the existence of two independent behaviors was not appreciated - which would have implied imposing two sanctions, one for each infringing behavior - but rather a single behavior; ultimately, Article 83.3 of the GDPR was applied.

The determination made in each case regarding which is the infringing behavior(s) is the first step. Later, it will be necessary to determine the amount of the sanction that should be imposed for such behavior; in this case, for a single behavior. And in determining the amount of the fine to be imposed, the GDPR requires us to take into account the factors established in Article 83.2.

The respondent, on the occasion - apparently - of criticizing the circumstances that the proposal had deemed to be aggravating factors, comments on the determination of the infringing behavior (one or several actions), a matter that had already been resolved in its favor since the initiation agreement, as it was clearly expressed therein what the behavior was that constituted the violation of the GDPR for which that party was held responsible.

b) Regarding the degree of responsibility: lack of intent or negligence.

It argues that, "in accordance with the measures adopted and implemented" "which we indicated in Allegation Four," it considers that there has been no lack of diligence on its part. It states that the measures described in this document "are sufficient, reasonable, and demonstrate the diligence with which it acted at all times" since "it not only based the processing of the data of the Claimants on the execution of a contract, but also actively sought their consent to proceed with the processing."

We refer to the Foundation of this resolution dedicated to examining the infringement of the principle of lawfulness, in which it is clearly stated that the respondent has not demonstrated the concurrence of either of the two legal bases for processing that it has invoked.

It states that the "usual procedure" it refers to "is none other than the search for the consent of the data subject to, after obtaining it, proceed with the transfer of data so that third parties can effectively take care of specific tasks such as cleaning a property or changing a lock."

- It rejects the application of the SAN of 17/10/2007 (Rec. 63/2006) cited in the resolution proposal. It states that the court's comment responds to the invocation by the plaintiff of a mistake of prohibition, a matter that she has not alleged. It reproduces this fragment of the SAN: "Thus, in relation to the mistake of prohibition invoked in the complaint, we must point out that due to the professionalism of the appellant, ignorance of an L.O. that develops a fundamental right cannot be invoked when carrying out an activity in constant contact with personal data."

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It is irrelevant what arguments the defendant invoked in the contentious process. What is relevant is the connection that the SAN makes between the treatment carried out in the course of a professional activity and the lack of diligence. To this end, the SAN refers to a Supreme Court ruling. The SAN of 17/10/2007 (Rec. 63/2006) states that "[...] the Supreme Court has understood that there is negligence whenever a legal duty of care is disregarded, that is, when the offender does not behave with the

required diligence. And in assessing the degree of diligence, the professionalism or lack thereof of the subject must be especially weighed [...]". (The emphasis is ours)

- It also rejects the application of Article 83.2.d) of the GDPR as an aggravating factor. It deems the allegation made in the proposal to be unfounded.

Finally, it has stated that in "economic terms," the treatment carried out consisted of the transfer of "minimal data from two individuals to provide a service [...] valued at €175.45." And "Against this amount [...] and for the treatment carried out, the AEPD intends to impose a fine of €40,000."

The GDPR seeks to ensure the protection of the fundamental right of individuals to the protection of their personal data recognized in Article 18.4 of the C.E. and in Article 8 of the Charter of Fundamental Rights of the U.E. The violation of this right occurs when the provisions regulating it are breached. And, in order to ascertain the existence of an infringement of that regulation and determine its severity, it is irrelevant what the economic value involved in the treatment operation that constitutes the infringement has been. This does not prevent the consideration of economic profile elements, such as the turnover of the infringing party, when determining the amount of the administrative fine to be imposed, once the infringement of the GDPR has been established and its severity determined.

(B2) The defendant advocates for the acceptance of the factors it relates as mitigating circumstances of its responsibility. Namely, the following:

(i) it has never been sanctioned or warned for violating personal data protection regulations; (ii) the treatment carried out affects only two individuals and the data processed is solely the name, surname, and NIF; (iii) there is no harm or damage caused to the affected party in terms of data protection; (iv) it acted in "good faith," "with the sole intention of providing good service to both parties"; (v) the general principle of the Law of equity, under which it would be appropriate to apply the corresponding legal norm in a "balanced" and "proportionate" manner, taking into account the "minimal eventual harm that may have been caused to the affected party"; (vi) it has not obtained benefits as a result of the alleged infringement attributed to it; and (vii) it has proceeded to update the data protection clauses in the rental contracts "as an improvement in compliance with the regulations."

We reiterate that the defendant acted with a lack of diligence in complying with the data protection regulations that it is obliged to know and observe, especially when the treatment in which the infringement of the GDPR occurs takes place in the course of its professional activity, making it inappropriate to invoke "good faith" if the conduct is the result of a clear breach of the rules to which it is subject.

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The invoked absence of intent is equally irrelevant, as despite the lack of malice, there was a serious lack of diligence.

The absence of benefits claimed—regardless of whether this point is substantiated—cannot, by itself, lead to a reduction in the severity of the infringement.

The applicable regulation mentions "the benefits obtained" as a factor for determining the sanction, but not "the absence of these." Thus, Article 83.2.k) of the GDPR refers to "any other aggravating or mitigating factor applicable to the circumstances of the case, such as the financial benefits obtained or the losses avoided, directly or indirectly, through the infringement." And Article 76.2c) of the LOPDGDD states that "2. In accordance with the provisions of Article 83.2.k) of Regulation (EU) 2016/679, the following may also be taken into account: [...] c) The benefits obtained as a result of the commission of the infringement."

Regarding the absence of benefits alleged to justify a mitigation of responsibility, we bring to attention the doctrine of the Administrative Litigation Chamber of the National Court, according to which the fact that not all elements that constitute a modifying circumstance of responsibility, which by its nature is aggravating, are present in a specific case, cannot lead to the conclusion that such circumstance is applicable as a mitigating factor.

The ruling made by the SAN on 05/05/2021 (Rec. 1437/2020)—even though the judgment concerns

the circumstance of subsection e) of Article 83.2 of the GDPR, related to the commission of previous infringements—is applicable to the issue raised, the claim of the defendant that the "absence" of benefits be accepted as a mitigating factor, given that both the GDPR and the LOPDGDD refer only to "the benefits obtained":

"On the other hand, it considers that the non-commission of a previous infringement should be appreciated as a mitigating factor. Well, Article 83.2 of the GDPR establishes that for the imposition of the administrative fine, among other things, the circumstance 'e) any previous infringement committed by the controller or the processor' must be taken into account. This is an aggravating circumstance; the fact that the prerequisite for its application does not exist means that it cannot be considered, but it does not imply or allow, as the claimant intends, its application as a mitigating factor" (The emphasis is ours)

4. Article 83 of the GDPR, "General conditions for the imposition of administrative fines," states in its paragraph 1 that the supervisory authority shall ensure that the imposition of fines for the infringements of this Regulation indicated in paragraphs 4, 5, and 6, complies in each individual case with the principles of effectiveness, proportionality, and deterrent effect.

The principle of proportionality requires a correlation between the infringement and the sanction, prohibiting unnecessary or excessive measures, so that it must be suitable to achieve the purposes that justify it. Article 83.2. of the GDPR determines the technique to be followed to achieve that adequacy between the sanction and the infringement committed.

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provides a list of criteria or factors that will be taken into account to determine the sanction.

The infringement of Article 6.1 of the GDPR for which the respondent is held responsible is classified under Article 83.5 of the GDPR and is punishable by a maximum fine of 20 million euros or 4% of the annual turnover of the company, whichever is higher.

In determining the amount of the fine to be imposed, the principles governing its determination, established in Article 83.1 of the GDPR, and the factors listed in Article 83.2 must be evaluated.

- Article 83.2.a): the severity of the infringement, taking into account the scope or purpose of the processing operation in question and the number of affected data subjects.

In the proposed resolution, the infringement of the GDPR attributed to the respondent was classified as "serious," and the circumstance provided for in Article 83.2.a) was evaluated for this purpose.

It should be noted that the Guidelines 4/2020 of the EDPB indicate that the supervisory authority will assess the severity of the infringement based on the "nature of the processing, but also the scope, purpose of the processing in question, as well as the number of affected data subjects and the level of harm suffered by them." In commenting on these evaluation criteria, they state:

The nature of the processing (i), "including the context in which the processing is functionally based (for example, business activity, non-profit, political party, etc.) and all characteristics of the processing. Depending on the context of the processing and the role of the controller or processor in this context, the supervisory authority may consider attributing more weight to this factor."

The scope of the processing (ii), "in relation to the local, national, or cross-border scope of the processing carried out and the relationship between this information and the actual scope of the processing in terms of the allocation of resources by the data controller. This element highlights a real risk factor, linked to the greater difficulty for the data subject and the supervisory authority to curb unlawful conduct as the scope of the processing increases."

The purpose of the processing (iii) "will lead the supervisory authority to attribute more weight to this factor. The supervisory authority may also consider whether the purpose falls within the so-called core activities of the data controller."

The number (iv) "of specific data subjects, but also potentially affected. The greater the number of data subjects involved, the more weight the supervisory authority may attribute to this factor."

"v. The level of harm suffered and the extent to which the conduct may affect individual rights and

freedoms. The reference to the 'level' of harm suffered, therefore, aims to draw the attention of the supervisory authorities to the harm suffered, or that is likely to have been suffered, as an additional and separate parameter."

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with respect to the number of interested parties involved [...] In any case, the assessment of harm must be limited to what is functionally necessary to achieve a correct evaluation of the severity of the infringement, without overlapping with the activities of the judicial authorities responsible for determining the different forms of individual harm." (The underlining is ours)

In the matter we are examining, despite the fact that two individuals were affected by the processing of data contrary to the GDPR, taking into account the context in which the processing took place, its purpose, and particularly its minimal impact on the rights and freedoms of individuals, since the co-tenants were responsible for paying the bills, we conclude that the GDPR infringement for which the defendant is held responsible is of "minor severity."

-Circumstance of Article 83.2.b): "the intentionality or negligence in the infringement."

It is noted that the defendant did not act with the diligence that was appropriate.

At this point, it should be recalled that the requirement for sanctioning liability presupposes the presence of the subjective element of the infringement, an essential requirement since the principle of culpability governs our Administrative Law on sanctions, which prevents the imposition of sanctions based on the objective responsibility of the alleged infringer.

The presence of the subjective element or culpability in a broad sense, as a condition for the emergence of sanctioning liability has been confirmed by the Constitutional Court, among others, in its STC 76/1999, in which it states that administrative sanctions share the same nature as criminal ones as they are one of the manifestations of the State's ius puniendi and that, as a requirement derived from the principles of legal certainty and legality in criminal matters enshrined in Articles 9.3 and 25.1 of the C.E., its existence is essential for imposing it.

In the same vein, Law 40/2015 on the Legal Regime of the Public Sector provides in Article 28, under the heading "Responsibility":

"1. Only individuals and legal entities, as well as, when a law recognizes their capacity to act, groups of affected parties, unions, and entities without legal personality and independent or autonomous assets, that are deemed responsible for the same by way of intent or negligence, may be sanctioned for acts constituting administrative infringement."

Therefore, sanctioning liability can be demanded on the basis of intent or negligence, with mere non-observance of the duty of care being sufficient in the latter case.

Examples of lack of diligence in fulfilling the obligations imposed on the data controller by data protection regulations are the citations made by these SSAN:

In the SAN of 17/10/2007 (Rec. 63/2006) it is stated: "the Supreme Court has understood that there is negligence whenever a legal duty of care is disregarded, that is, when the infringer does not behave with the required diligence."

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The assessment of the degree of diligence must particularly weigh the professionalism of the subject, and there is no doubt that, in the case now examined, when the activity of the appellant involves constant and abundant handling of personal data, it is essential to emphasize the rigor and exquisite care required to comply with the legal provisions in this regard.

It is also significant to note the SAN of 29/04/2010 which, in its Sixth Legal Ground, stated: "The issue is not to determine whether the appellant processed the personal data of the complainant without their consent, but rather whether they employed reasonable diligence when attempting to identify the person with whom they entered into the contract."

The evidence of the element of culpability presents some particularities. In this sense, the STS of 23/01/1998 affirmed that "although the culpability of the conduct must also be proven, it should be

considered in relation to the assumption of the corresponding burden that ordinarily the volitional and cognitive elements necessary to appreciate it are part of the proven typical conduct, and that their exclusion requires evidence of the absence of such elements, or in its normative aspect, that the diligence required by the one claiming its non-existence has been employed; in summary, the mere invocation of the absence of fault is not sufficient for exculpation against typically unlawful behavior.” (The emphasis is ours)

The attribution of responsibility to legal entities is also unique, so that, in the case of infringements committed by legal entities - as is the matter at hand - although the element of culpability must be present, it necessarily applies differently than it does with natural persons. The SAN of 30/05/2015 (Rec. 163/2014) has highlighted the differences that exist between the attribution of responsibility to a natural person and to a legal person and connects the “blameworthiness” of a certain conduct to a “legal person” with the circumstance that it “provided or did not provide effective protection to the legal good protected by the norm.”

Therefore, according to the criterion of the STS of 23/01/1998 regarding the proof of culpability, in this case of lack of diligence, “its exclusion requires that the absence of such elements be evidenced, or in its normative aspect, that the diligence required by the one claiming its non-existence has been employed;” Connecting this consideration with the obligation that the GDPR imposes on the data controller to be in a position to demonstrate compliance with the principles of Article 5.1 (the lawfulness principle as it pertains here) and considering the results of the evidence requested from the responding party, it is undeniable that they omitted the appropriate diligence regarding the processing of the data of the tenants being examined here. This lack of diligence must be classified as serious.

- Article 83.2.k) GDPR in relation to Article 76.2.b) LOPDGDD: “The link between the infringer's activity and the processing of personal data.”

In the course of its own activity, the respondent needs to habitually process personal data, and this fact impacts the diligence that is required in complying with the principles governing the processing of data.

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personal nature and the quality and effectiveness of the technical and organizational measures that must be implemented to ensure respect for this right, both for its clients and for third parties.

According to the information published by the Commercial Registry, the defendant's corporate purpose is the purchase, sale, leasing, and management of urban properties. An activity that, by its very nature, requires processing the data of those involved in these operations, which in turn affects the diligence that must be exercised in compliance with the obligations imposed by the GDPR.

Unlike what was established in the proposed resolution, this resolution does not appreciate the aggravating factor of Article 83.2.d) of the GDPR: “the degree of responsibility of the data controller or the processor, taking into account the technical or organizational measures they have applied under Articles 25 and 32.”

Although in the analyzed factual situation the defendant did not apply the action protocol that it claimed to have implemented and followed regularly during the settlement of the deposit in leases, we lack the elements of judgment to deny that the invoked protocol existed and, consequently, to conclude that the entity lacked organizational measures regarding the processing it performs in that phase of the leases in which it intervenes.

In accordance with the principle of proportionality, which requires a correlation between the severity of the infringement committed and the penalty imposed, given that the infringement has been classified as “of minor severity” and the circumstances of Article 83.2 of the GDPR that occur as aggravating factors (paragraphs b) and k) in relation to Article 76.2.b) of the LOPDGDD), the administrative fine that is agreed to be imposed on the defendant for the violation of Article 6.1 of the GDPR for which it is held responsible is set at €4,000 (four thousand euros).

Therefore, in accordance with the applicable legislation and assessed the criteria for the graduation of the sanctions whose existence has been accredited,

the Director of the Spanish Agency for Data Protection RESOLVES:

FIRST: TO IMPOSE on INMOBILIARIA MESLLOC, S.L., with NIF B61043162, for an infringement of Article 6.1 of the GDPR, classified under Article 83.5.a) of the GDPR, an administrative fine in the amount of €4,000 (four thousand euros).

SECOND: TO NOTIFY this resolution to INMOBILIARIA MESLLOC, S.L.

THIRD: To warn the sanctioned party that they must pay the imposed sanction once this resolution becomes enforceable, in accordance with the provisions of Article 98.1.b) of the LPACAP, within the voluntary payment period established in Article 68 of the General Collection Regulation, approved by Royal Decree 939/2005, of July 29, in relation to Article 62 of Law 58/2003, of December 17, by making the payment, indicating the NIF of the sanctioned party and the procedure number that appears in the heading of this document, to the restricted account No. IBAN:

ES00-0000-0000-0000-0000-0000 (BIC/SWIFT Code: CAIXESBBXXX), opened in the name of the Spanish Agency for Data Protection at the banking entity CAIXABANK, S.A. If not, collection will proceed during the enforcement period.

Upon receipt of the notification and once enforceable, if the date of enforceability falls between the 1st and the 15th of each month, inclusive, the deadline for voluntary payment will be until the 20th of the following month or the next business day, and if it falls between the 16th and the last day of each month, inclusive, the payment deadline will be until the 5th of the second following month or the next business day.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative procedure in accordance with Article 48.6 of the LOPDGDD, and in accordance with the provisions of Article 123 of the LPACAP, the interested parties may optionally file a motion for reconsideration before the Director of the Spanish Agency for Data Protection within one month from the day following the notification of this resolution or directly file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and paragraph 5 of the fourth additional provision of Law 29/1998, of July 13, regulating the Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law. Finally, it is noted that in accordance with the provisions of Article 90.3 a) of the LPACAP, the firm resolution in the administrative procedure may be provisionally suspended if the interested party expresses their intention to file a contentious-administrative appeal. If this is the case, the interested party must formally communicate this fact by writing to the Spanish Agency for Data Protection, submitting it through the Electronic Registry of the Agency

[<https://sedeagpd.gob.es/sede-electronica-web/>], or through any of the other registries provided for in Article 16.4 of Law 39/2015, of October 1. They must also provide the Agency with documentation that proves the effective filing of the contentious-administrative appeal. If the Agency does not have knowledge of the filing of the contentious-administrative appeal within two months from the day following the notification of this resolution, it will consider the provisional suspension terminated.

938-181022

Mar España Martí

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